



Meezan Bank
The Premier Islamic Bank

• First Quarterly Report •
March 31, 2026



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CORPORATE INFORMATION

AS OF MARCH 31, 2026

Board of Directors	Riyadh S. A. A. Edrees Bader H. A. M. A. AlRabiah Tariq Mahmood Pasha Irfan Siddiqui Saad Ur Rahman Khan Faisal Fahad AlMuzaini Zine Elabidine Bachiri Abdulrazzaq T.A.M. Razooqi Mohammad Abdul Aleem Nausheen Ahmad Dr. Syed Amir Ali	Chairman Vice Chairman President & CEO
Shariah Board	Justice (Retd.) Muhammad Taqi Usmani Dr. Muhammad Imran Ashraf Usmani Sheikh Esam Mohamed Ishaq Mufti Zubair Ahmed Mufti Muhammad Naveed Alam	Chairman Resident Shariah Board Member
Management	Dr. Syed Amir Ali	President & CEO
Board Audit Committee	Mohammad Abdul Aleem Tariq Mahmood Pasha Saad Ur Rahman Khan Abdulrazzaq T.A.M. Razooqi Irfan Siddiqui	
Board Risk Management Committee	Saad Ur Rahman Khan Bader H. A. M. A. AlRabiah Zine Elabidine Bachiri Abdulrazzaq T.A.M. Razooqi	
Board Human Resources, Remuneration & Compensation Committee	Riyadh S. A. A. Edrees Mohammad Abdul Aleem Nausheen Ahmad Abdulrazzaq T.A.M. Razooqi Irfan Siddiqui	
Board Information Technology Committee	Saad Ur Rahman Khan Riyadh S. A. A. Edrees Bader H. A. M. A. AlRabiah Irfan Siddiqui	
Board IFRS 9 Committee	Riyadh S. A. A. Edrees Faisal Fahad AlMuzaini Tariq Mahmood Pasha	
Resident Shariah Board Member	Mufti Muhammad Naveed Alam	
Chief Financial Officer	Syed Imran Ali Shah	
Company Secretary	Muhammad Sohail Khan	
Auditors	A. F. Ferguson & Co., Chartered Accountants	
Legal Adviser	Haidermota & Co. Advocates	
Registered Office and Head Office	Meezan House C-25, Estate Avenue, SITE, Karachi - 75730, Pakistan Phone: (92-21) 38103500, 37133500, Fax: (92-21) 36406056 24/7 Call Centre: (92-21) 111-331-331 & 111-331-332	
E-mail	info@meezanbank.com	
Website	www.meezanbank.com www.meezanbank.pk	
Shares Registrar	THK Associates (Pvt.) Ltd Plot No, 32-C, Jami Commercial, Street 2, DHA, Phase VII, Karachi - 75500, Pakistan Phone: (92-21) 111-000-322, 35310191-6 Email: secretariat@thk.com.pk, sfc@thk.com.pk Website: www.thk.com.pk	



The Board of Directors is pleased to present the condensed interim unaudited unconsolidated and consolidated financial statements of Meezan Bank Limited for the quarter ended March 31, 2026.

Economy

While Pakistan's macroeconomic environment had been showing signs of stabilisation following the crises of 2022–2024, the recent escalation of conflict in the Middle East poses risks to this recovery. Disruptions to key shipping routes have driven fuel prices to their highest levels since 2022, increasing the likelihood of renewed inflationary pressures. Notwithstanding these challenges, the Federal Government continues to advance policy measures and structural reforms aimed at sustaining macroeconomic stability and reinforcing investor confidence, particularly through ongoing energy sector reforms to improve long-term efficiency and sustainability.

After a sustained period of disinflation, inflationary pressures have begun to re-emerge, with inflation rising to 7.3% in March 2026 compared to 0.7% in the corresponding period last year. Despite this uptick, the State Bank of Pakistan has maintained the policy rate at 10.5% since the beginning of the calendar year, however, this is likely to change if the status quo persists. Meanwhile, capital markets have responded to heightened global uncertainty, with the Pakistan Stock Exchange declining by 15% to close at 148,743 points, compared to 174,054 points at the end of 2025.

Workers' remittances remained a key source of external support, reaching USD 30.3 billion during the first nine months of FY2026, reflecting a year-on-year increase of 8.2%. During the period, Pakistan received USD 1.2 billion under the IMF's Extended Fund Facility programme, while a staff-level agreement was reached in March 2026 for an additional USD 1.2 billion, subject to IMF Executive Board approval. Supported by these inflows, foreign exchange reserves increased to USD 21.8 billion as at 31 March 2026. These developments, alongside continued measures to strengthen foreign exchange market stability, have contributed to relative exchange rate stability, with the Pakistani Rupee appreciating marginally to Rs 279.2 per US dollar from Rs 280.1 at 31 December 2025.

Looking ahead, prudent policy management will remain critical to containing inflationary pressures, supporting economic growth and sustaining the gradual improvement in the country's fiscal and external positions.

Financial Highlights

With the grace of Almighty Allah, Meezan Bank delivered solid financial performance for the quarter ended March 31, 2026. The Bank reported a Profit after Tax (PAT) of Rs 23.4 billion, compared to Rs 22.0 billion in the corresponding period last year, reflecting an increase of 6%. Basic Earnings per Share stood at Rs 13.00 for the current quarter, as against Rs 12.28 reported in the same period last year. The Bank's Return on Equity (ROE) was recorded at 34.0%, while Return on Assets (ROA) stood at 2.0% for Q1'26. Alhamdulillah, the Bank has consistently maintained its Return on Equity (ROE) above the industry average, in line with its commitment to delivering sustained value to shareholders. A continued focus on profitability, combined with a prudent approach to balancing dividend pay-outs and profit retention, has supported strong internal capital generation. As a result, the Bank's Capital Adequacy Ratio (CAR) remains robust at above 19%.

The Board of Directors is pleased to announce the approval of an interim cash dividend of Rs 7.50 (75%) for the quarter ended March 31, 2026. The Bank takes pride in its longstanding track record of consistently distributing dividends each year since its listing on the Pakistan Stock Exchange. Meezan Bank continued to rank among the most valuable banks in Pakistan, with a market capitalization of USD 2.92 billion, closing the quarter at Rs 815 billion. This reflects investors' continued confidence in the Bank's management, financial performance and growth outlook. A summary of the Bank's financial highlights is presented below.

D I R E C T O R S ' R E V I E W

Rupees in millions

Profit & Loss Account	Jan - Mar 2026	Jan - Mar 2025	Growth %
Profit / return earned on financing, investments and placements	105,831	107,617	(2%)
Profit on deposits and other dues expensed	(44,404)	(45,826)	(3%)
Net spread earned	61,427	61,790	(1%)
Fee, commission and other non -funded income	11,151	8,178	36%
Operating income	72,578	69,968	4%
Operating and other expenses	(23,150)	(19,631)	18%
Profit before credit loss allowance / provisions	49,427	50,337	(2%)
Credit loss allowance and write offs - net	(449)	(1,858)	(76%)
Profit before tax	48,979	48,479	1%
Taxation	(25,574)	(26,431)	(3%)
Profit after tax	23,405	22,048	6%
Basic Earnings per share - Rupees	13.00	12.28	6%
Number of branches	1,115	1,052	6%

Rupees in millions

Statement of Financial Position	March 31, 2026	December 31, 2025	Growth %
Total Assets	4,788,400	4,806,561	0%
Investments	2,679,522	2,596,837	3%
Islamic financing and related assets - Gross	1,537,336	1,686,267	(9%)
Deposits	3,619,515	3,302,842	10%
ADR (Gross Advances to Deposits)- %	42.5%	51.1%	(9%)
Equity	279,016	279,257	0%

Returns from financing, investments and placements registered a slight decline, amounting to Rs 105.8 billion compared to Rs 107.6 billion in the corresponding period last year. This reduction is primarily attributable to the lower policy rate environment prevailing during the quarter. The Policy Rate averaged 10.5% during the current period, compared to 12.3% in March 2025, reflecting a decrease of 180 basis points. However, the impact of rate decline was largely offset by increase in assets volume driven by growth in deposit. Returns paid on deposits and other dues also declined modestly to Rs 44.4 billion, as against Rs 45.8 billion in March 2025, representing a decrease of 3%. Consequently, the Bank's net spread remained largely stable at Rs 61.4 billion for the current quarter, compared to Rs 61.8 billion in the corresponding period last year, reflecting a marginal decrease of 1%.

Fee, commission and other income exhibited strong growth during the quarter, increasing by 36% to Rs 11.2 billion, compared to Rs 8.2 billion in March 2025. Core fee and commission income rose by 26% to Rs 6.9 billion, driven primarily by higher contributions from debit card usage, branch banking services and trade-related activities. Foreign exchange income also recorded an improvement over the corresponding period last year, rising to Rs 1.8 billion from Rs 1.6 billion in Q1 2025, mainly supported by increased trade and home remittance flows.

Total expenses have increased to Rs 23.2 billion in Q1 2026 from Rs 19.6 billion in Q1 2025. As a result, the Bank's cost-to-income ratio for March 2026 quarter is 32% which is amongst the lowest in the industry. The rise in expenses from corresponding period last year is attributable to

opening of 63 new branches from Q1 2025, higher staff and information technology expenses as well as inflationary impacts. Further customer onboarding and communication expenses have also increased which are directly linked with growth in business volumes. The Bank remains committed to cost rationalization and the implementation of process automation initiatives aimed at enhancing operational efficiency and achieving a more streamlined operating model.

Total assets have remained roughly at the same level since the year-end 2025, closing at Rs 4.79 trillion as at March 2026. Investments portfolio slightly increased by 3% compared to December 2025, reaching Rs 2.68 trillion as opposed to Rs 2.60 trillion at December 2025. The Bank has been able to increase its investments due to the regular Sukuk auctions by the Government of Pakistan which has eased liquidity management challenges historically faced by Islamic Banking Industry (IBI). Gross financing portfolio decreased by 9% from Rs 1.69 trillion as at December 2025 to Rs 1.54 trillion at the end of the current quarter, translating into an Advances to Deposits Ratio (ADR) of 42.5%.

Meezan Bank continues to maintain strong asset quality, outperforming industry benchmarks, with a non-performing financing ratio of 2.0%. The Bank also sustains a prudent level of provisioning against non-performing financings, resulting in a healthy coverage ratio of 151%.

The Bank's deposit portfolio registered strong growth of 10% compared to December 2025, reaching Rs 3.62 trillion as at the end of the quarter. Current Account (CA) deposits constituted slightly over 50% of the total deposit base, amounting to Rs 1.84 trillion, while Savings Account (SA) deposits grew by 6% to close at Rs 1.51 trillion as at March 2026. Collectively, Current and Savings Account (CASA) deposits represented 93% of the total deposit portfolio, aggregating to Rs 3.36 trillion. The Bank's consistent growth in deposits reflects the continued trust and confidence placed in it by its customers.

Meezan Bank remains committed to its digital transformation strategy, focused on enhancing customer experiences and optimizing back-office operations. Adopting a hybrid growth model, the Bank has expanded its physical presence in underserved areas while continuing to onboard customers through digital channels. Strategically distributed across the country, Meezan Bank operates 1,115 branches across 365 cities, complemented by an ATM network exceeding 1,350 touchpoints nationwide.

The VIS Credit Rating Company Limited has reaffirmed Meezan with highest possible credit rating - 'AAA' (Triple A) rating for the Long Term and an 'A1+' (A-One Plus) rating for the Short Term, maintaining a stable outlook.

Outlook

Meezan Bank remains steadfast in its commitment to fostering economic growth and reinforcing the financial stability of Pakistan through the progressive advancement of the Islamic banking sector. The Bank continues to align its strategic direction with the Government's vision for Islamic finance, consistent with the constitutional mandate, to support the transformation of the national economy towards a fully Shariah-compliant financial system. Its strategy is centred on achieving balanced and sustainable growth, enhancing sectoral diversification and maintaining strong regulatory compliance and financial soundness above the prescribed thresholds. The Bank is also expanding its presence across both physical and digital platforms, with a continued focus on delivering leading-edge digital banking solutions to reinforce its position as an industry leader.

While ongoing geopolitical tensions in the Middle East present potential challenges, including market volatility and inflationary pressures, the Bank's robust capital base, prudent risk management and diversified operations position it to maintain resilience, support economic activity and uphold investor and depositor confidence.

Acknowledgement

The Board conveys its sincere appreciation to the State Bank of Pakistan, the Ministry of Finance and the Securities and Exchange Commission of Pakistan for their ongoing support and dedication to the development of a robust Islamic financial ecosystem in the country. The Board further extends its gratitude to the Bank's valued customers for their continued trust and confidence. It also acknowledges the guidance and support of the Board of Directors, the Shariah Board, shareholders and the holders of Additional Tier I Sukuk and Subordinated Sukuk (Tier II), whose collective contributions have been instrumental in establishing Meezan Bank as Pakistan's premier Islamic banking institution.

The Board also expresses its deep appreciation for the Bank's employees, whose commitment, professionalism and sustained efforts continue to drive the advancement of Islamic banking. Above all, the Board expresses its sincere gratitude to Allah Almighty for His enduring blessings upon the Bank and its people, which have made these achievements possible within a relatively short span of time. The Board prays for His continued guidance and strength as the Bank strives towards its vision of establishing "Islamic banking as the banking of first choice."



Riyadh S.A.A. Edrees
Chairman
On behalf of the Board

Karachi:
April 23, 2026



Dr. Syed Amir Ali
President & CEO

ڈائریکٹر کی طرف سے جائزہ بِسْمِ اللّٰهِ الرَّحْمٰنِ الرَّحِیْمِ

بورڈ آف ڈائریکٹرز کی جانب سے 31 مارچ 2026 کو مکمل ہونے والی سہ ماہی کے لیے میزان بینک کے تفصیلی مالیاتی نتائج پر مبنی مختصر عبوری غیر آڈٹ شدہ مجموعی اور مجموعی گوشوارے پیش کرنا ہمارے لیے باعث مسرت ہے۔

معاشی جائزہ

پاکستان کا مجموعی معاشی ماحول 2022 تا 2024 کے بحرائی دور کے بعد استحکام کی علامات ظاہر کر رہا تھا، تاہم مشرق وسطیٰ میں حالیہ تنازعے کے بڑھنے سے اس بحالی کو خطرات لاحق ہیں۔ جہاز رانی کے اہم راستوں میں رکاوٹوں نے ایندھن کی قیمتیں 2022 کے بعد بلند ترین سطح تک پہنچادی ہیں، جس سے افراط زر کا دباؤ دوبارہ بڑھنے کے امکانات ہیں۔ ان چیلنجوں کے باوجود وفاقی حکومت پالیسی اقدامات اور ساختی اصلاحات آگے بڑھا رہی ہے تاکہ مجموعی اقتصادی استحکام برقرار رہے اور سرمایہ کاروں کا اعتماد مزید مضبوط ہو، بالخصوص توانائی کے شعبے میں اصلاحات کے ذریعے طویل مدتی کارکردگی اور پائیداری بہتر بنائی جاسکے۔

افراط زر میں کمی کے ایک طویل عرصے کے بعد دباؤ دوبارہ ابھرنے لگا ہے، مارچ 2026 میں افراط زر 7.3 فیصد تک پہنچ گیا جو گزشتہ سال اسی مدت میں 0.7 فیصد تھا۔ اس اضافے کے باوجود، اسٹیٹ بینک آف پاکستان نے کیلنڈر سال کے آغاز سے پالیسی ریٹ 10.5 فیصد پر برقرار رکھا ہے، تاہم اگر موجودہ صورتحال جاری رہی تو اس میں تبدیلی کا امکان ہے۔ اسی دوران، غیر یقینی عالمی صورتحال کے باعث کمپنیل مارکیٹس متاثر ہوئیں اور پاکستان اسٹاک ایکسچینج 15 فیصد گر کر 148,743 پوائنٹس پر بند ہوا، جو 2025 کے اختتام پر 174,054 پوائنٹس تھا۔

محنت کشوں کی ترسیلات زر بیرونی معاونت کا ایک اہم ذریعہ ہیں، مالی سال 2026 کے ابتدائی نو ماہ میں 30.3 بلین امریکی ڈالر تک پہنچیں، جو سال بہ سال 8.2 فیصد اضافہ ظاہر کرتی ہیں۔ اس دوران پاکستان کو آئی ایم ایف کے ایکسپیڈنڈ فنڈ فیسلٹی پروگرام کے تحت 1.2 بلین امریکی ڈالر موصول ہوئے، جبکہ مارچ 2026 میں مزید 1.2 بلین امریکی ڈالر کے لیے اسٹاف لیول معاہدہ ہوا، جو آئی ایم ایف ایگزیکٹیو بورڈ کی منظوری سے مشروط ہے۔ ان رقوم کی بدولت زرمبادلہ کے ذخائر 31 مارچ 2026 کو 21.8 بلین امریکی ڈالر تک بڑھ گئے۔ ان پیش رفتوں کے ساتھ ساتھ زرمبادلہ مارکیٹ کے استحکام کے لیے جاری اقدامات نے شرح مبادلہ نسبتاً مستحکم رکھی، اور پاکستانی روپے نے معمولی بہتری کے ساتھ 279.2 روپے فی امریکی ڈالر پر بندش پائی، جو 31 دسمبر 2025 کو 280.1 روپے فی امریکی ڈالر تھا۔

آگے بڑھتے ہوئے، محتاط پالیسی منجمنت افراط زر کا دباؤ قابو میں رکھنے، معاشی نمو کو سہارا دینے اور ملک کی مالی و بیرونی پوزیشن میں بتدریج بہتری برقرار رکھنے کے لیے نہایت اہم رہے گی۔

ہماری کارکردگی

اللہ تعالیٰ کے فضل و کرم سے، میزان بینک نے 31 مارچ 2026 کو ختم ہونے والی سہ ماہی کے دوران مضبوط مالی کارکردگی کا مظاہرہ کیا۔ بینک نے 23.4 بلین روپے بعد از ٹیکس منافع (PAT) رپورٹ کیا، جو گزشتہ سال اسی مدت میں 22.0 بلین روپے تھا، اور یہ 6 فیصد کا اضافہ ظاہر کرتا ہے۔ موجودہ سہ ماہی کے لیے بنیادی فی حصص آمدنی 13.00 روپے رہی، جبکہ گزشتہ سال اسی مدت میں یہ 12.28 روپے تھی۔ 2026 کی پہلی سہ ماہی کے لیے بینک کی ایکویٹی پر منافع (ROE) 34.0 فیصد ریکارڈ کیا گیا، جبکہ اثاثوں پر منافع (ROA) 2.0 فیصد رہا۔ الحمد للہ، بینک نے اپنی ایکویٹی پر منافع (ROE) مسلسل صنعت کے اوسط سے بلند رکھا ہے، جو حصص یافتگان کو پائیدار قدر فراہم کرنے کے عزم کے مطابق ہے۔ منافع پر مسلسل توجہ، اور منافع کی تقسیم اور برقرار رکھنے کے درمیان محتاط توازن نے اندرونی سرمایہ کی مضبوط پیداوار کو سہارا دیا ہے۔ نتیجتاً، بینک کا کیپٹل ایڈیکویسی ریشیو (CAR) 19 فیصد سے زائد کی سطح پر مضبوطی سے برقرار ہے۔

بورڈ آف ڈائریکٹرز کو خوشی ہے کہ وہ 31 مارچ 2026 کو ختم ہونے والی سہ ماہی کے لیے 7.50 روپے (75 فیصد) کا عبوری نقد منافع منظور کرنے کا اعلان کر رہا ہے۔ بینک کو فخر ہے کہ ہم نے پاکستان اسٹاک ایکسچینج میں لسٹنگ کے بعد سے ہر سال مسلسل منافع تقسیم کرنے کا دیرینہ ریکارڈ برقرار رکھا ہے۔ میزان بینک پاکستان کے سب سے زیادہ مالیاتی استحکام کے حامل بینکوں میں شامل رہا، جس کی مارکیٹ کیپٹل سزیشن 2.92 بلین امریکی ڈالر رہی، اور سہ ماہی کے اختتام پر 815 بلین روپے پر بند ہوئی۔ یہ سرمایہ کاروں کے بینک کے انتظام، مالی کارکردگی اور ترقی کے منظر نامے پر مسلسل اعتماد کی عکاسی کرتا ہے۔ بینک کی مالیاتی نمایاں خصوصیات کا خلاصہ ذیل میں پیش کیا گیا ہے۔

روپے (ملین میں)

نفع و نقصان کھاتہ	جنوری تا مارچ 2026	جنوری تا مارچ 2025	اضافہ/کمی کی شرح %
فنانسنگ، سرمایہ کاری اور تینوں سے حاصل شدہ آمدنی/منافع	105,831	107,617	(2%)
جمع شدہ رقوم پر منافع کی ادائیگی اور دیگر واجب الادا مصارف	(44,404)	(45,826)	(3%)
اصل منافع	61,427	61,790	(1%)
فیس، کمیشن کی آمدنی اور دیگر بلا سرمایہ آمدنی	11,151	8,178	36%
آپریٹنگ آمدنی	72,578	69,968	4%
انتظامی اور دیگر اخراجات	(23,150)	(19,631)	18%
قرض پر خسارے کے لیے مختص رقوم/پروویژن سے قبل منافع	49,427	50,337	(2%)
پروویژن اور قرضوں کی معافی۔ اصل	(449)	(1,858)	(76%)
قبل از ٹیکس منافع	48,979	48,479	1%
ٹیکس	(25,574)	(26,431)	(3%)
بعد از ٹیکس منافع	23,405	22,048	6%
بنیادی فی حصص آمدنی۔ روپے	13.00	12.28	6%
برانچوں کی تعداد	1,115	1,052	6%

روپے (ملین میں)

مالیاتی حیثیت کا جائزہ	31 مارچ 2026	31 دسمبر 2025	اضافہ/کمی کی شرح %
کل اثاثہ جات	4,788,400	4,806,561	0%
سرمایہ کاریاں	2,679,522	2,596,837	3%
اسلامی فنانسنگ اور متعلقہ اثاثہ جات۔ مجموعی	1,537,336	1,686,267	(9%)
ڈپازٹس	3,619,515	3,302,842	10%
ADR (ڈپازٹس کے مقابل مجموعی ایڈوانسز)۔	42.5%	51.1%	(9%)
ایکویٹی	279,016	279,257	0%

فنانسنگ، سرمایہ کاریوں اور پلیمینٹس پر منافع میں معمولی کمی ریکارڈ کی گئی، جو 105.8 ملین روپے رہا، جبکہ گزشتہ سال اسی مدت میں یہ 107.6 ملین روپے تھا۔ یہ کمی بنیادی طور پر سرمایہ کے دوران موجود کم پالیسی ریٹ کے ماحول کی وجہ سے ہے۔ موجودہ مدت میں پالیسی ریٹ اوسطاً 10.5 فیصد رہا، جو مارچ 2025 میں 12.3 فیصد تھا، یوں یہ 180 بنیادی پوائنٹس کی کمی ظاہر کرتا ہے۔ تاہم شرح میں کمی کا زیادہ اثر ڈپازٹس میں اضافے کے نتیجے میں اثاثوں کے حجم میں ہونے والے اضافے سے متوازن ہو گیا۔ ڈپازٹس اور دیگر واجبات پر ادا کیے گئے منافع میں بھی معمولی کمی ہوئی اور یہ 44.4 ملین روپے رہا، جبکہ مارچ 2025 میں یہ 45.8 ملین روپے تھا، جو 3 فیصد کی کمی ظاہر کرتا ہے۔ نتیجتاً، بینک کا نفع نقصان کا خالص فرق موجودہ سرمایہ کے لیے زیادہ تر مستحکم رہا اور 61.4 ملین روپے ریکارڈ کیا گیا، جبکہ گزشتہ سال اسی مدت میں یہ 61.8 ملین روپے تھا، جو 1 فیصد کی معمولی کمی ظاہر کرتا ہے۔

فیس، کمیشن اور دیگر آمدنی نے سرمایہ کے دوران مضبوط نمو کا مظاہرہ کیا اور 36 فیصد بڑھ کر 11.2 ملین روپے تک پہنچ گئی، جبکہ مارچ 2025 میں یہ 8.2 ملین روپے تھی۔ بنیادی فیس اور کمیشن آمدنی 26 فیصد بڑھ کر 6.9 ملین روپے تک پہنچ گئی، جس کی بنیادی وجہ ڈیٹ کارڈ کے استعمال، برانچ بینکنگ سروسز اور تجارت سے متعلق سرگرمیوں میں زیادہ حصہ داری تھی۔ زرمبادلہ کی آمدنی نے بھی گزشتہ سال کی اسی مدت کے مقابلے میں بہتری دکھائی اور سرمایہ اول 2025 میں 1.6 ملین روپے سے بڑھ کر 1.8 ملین روپے تک پہنچ گئی، جسے زیادہ تر تجارت اور ملکی ترسیلات زر کے بہاؤ نے سہارا دیا۔

بینک کے کل اخراجات 2026 کی پہلی سہ ماہی میں بڑھ کر 23.2 بلین روپے ہو گئے، جو 2025 کی پہلی سہ ماہی میں 19.6 بلین روپے تھے۔ اس کے نتیجے میں مارچ 2026 سہ ماہی کے لیے بینک کا لاگت کے مقابلے میں آمدنی کا تناسب 32 فیصد رہا، جو صنعت میں سب سے کم سطحوں میں شمار ہوتا ہے۔ اخراجات میں اضافے کی بنیادی وجوہات میں 2025 کے بعد 63 نئی برانچز کا قیام، عملے اور انفارمیشن ٹیکنالوجی کے زیادہ اخراجات اور مہنگائی کے اثرات شامل ہیں۔ مزید برآں، کسٹمر آن بورڈنگ اور کیو ٹیکسٹیشن سے متعلق اخراجات بھی بڑھے ہیں، جو براہ راست کاروباری حجم میں اضافے سے جڑے ہیں۔ بینک اخراجات معقول بنانے اور پروسسز آئٹیمیشن اقدامات کے نفاذ کے لیے پرعزم ہے، تاکہ عملی کارکردگی میں بہتری اور زیادہ موثر آپریشننگ ماڈل حاصل کیا جاسکے۔

بینک کے کل اثاثے سال کے اختتام 2025 کے بعد تقریباً اسی سطح پر برقرار رہے اور مارچ 2026 میں 4.79 ٹریلین روپے پر بند ہوئے۔ سرمایہ کاریوں کا پورٹ فولیو دسمبر 2025 کے مقابلے میں 3 فیصد بڑھ کر 2.68 ٹریلین روپے تک پہنچ گیا، جبکہ دسمبر 2025 میں یہ 2.60 ٹریلین روپے تھا۔ حکومت پاکستان کی جانب سے تسلسل سے صکوک نیلامیوں نے بینک کو سرمایہ کاری بڑھانے کا موقع دیا، جس سے اسلامی بینکاری صنعت کو درپیش لیکویڈیٹی مینجمنٹ کے مسائل میں کمی آئی۔ مجموعی فنانسنگ پورٹ فولیو دسمبر 2025 کے 1.69 ٹریلین روپے سے 9 فیصد کم ہو کر موجودہ سہ ماہی کے اختتام پر 1.54 ٹریلین روپے رہا، جس کے نتیجے میں ایڈوانسز کے مقابلے میں ڈپازٹس کا تناسب (ADR) 42.5 فیصد رہا۔

میزان بینک نے اثاثوں کا معیار مضبوطی سے برقرار رکھا ہے اور صنعت کے معیار سے بہتر کارکردگی دکھائی ہے، غیر فعال فنانسنگ کا تناسب 2.0 فیصد رہا۔ بینک نے غیر فعال فنانسنگ کے خلاف محتاط پروویژننگ بھی برقرار رکھی ہے، جس کے نتیجے میں کوریج ریشیو 151 فیصد رہا۔

بینک کے ڈپازٹ پورٹ فولیو نے دسمبر 2025 کے مقابلے میں 10 فیصد کی مضبوط نمو ریکارڈ کی اور سہ ماہی کے اختتام پر 3.62 ٹریلین روپے تک پہنچ گیا۔ کرنٹ اکاؤنٹ ڈپازٹس کل ڈپازٹس میں 50 فیصد سے کچھ زیادہ رہے اور 1.84 ٹریلین روپے تک پہنچے، جبکہ سیونگز اکاؤنٹ ڈپازٹس 6 فیصد بڑھ کر مارچ 2026 میں 1.51 ٹریلین روپے پر بند ہوئے۔ مجموعی طور پر، کرنٹ اور سیونگز اکاؤنٹ ڈپازٹس کل ڈپازٹ پورٹ فولیو کا 93 فیصد رہے اور 3.36 ٹریلین روپے تک پہنچے۔ بینک کے ڈپازٹس میں مسلسل نمو صارفین کے اعتماد اور بھروسے کی عکاسی کرتی ہے۔

میزان بینک اپنی ڈیجیٹل ٹرانسفارمیشن حکمت عملی پر کاربند ہے، جس کا مقصد صارفین کے تجربات بہتر بنانا اور بیک آفس آپریشنز موثر بنانا ہے۔ ہائبرڈ گروتھ ماڈل اپناتے ہوئے، بینک نے کم سہولت یافتہ علاقوں میں اپنی موجودگی بڑھائی ہے اور ساتھ ہی صارفین کو ڈیجیٹل چینلز کے ذریعے آجے اور ڈکرن جاری رکھا ہے۔ ملک بھر میں اسٹریٹجک طور پر محیط، میزان بینک 365 شہروں میں 1,115 برانچز چلا رہا ہے، جسے 1,350 سے زائد ایٹمیٹریز کا نیٹ ورک سپورٹ کر رہا ہے۔

VIS کریڈٹ ریٹنگ کمپنی لمیٹڈ نے میزان بینک کی قلیل مدت کے لیے AAA (ٹرپل اے) اور طویل مدت کے لیے A+1 (اے ون پلس) کریڈٹ ریٹنگ کی دوبارہ توثیق کی ہے، جب کہ آؤٹ لک بدستور ”مستحکم“ ہے۔

مستقبل کے آئٹار اور حکمت عملی

میزان بینک اسلامی بینکاری کی صنعت کی مسلسل ترقی کے ذریعے ملک کی معاشی نمو اور مالیاتی استحکام کو فروغ دینے کے اپنے عزم پر بدستور قائم ہے۔ ہم اسلامی مالیات کے فروغ کے لیے حکومت کی اسٹریٹجک توجہ کے ساتھ ہم آہنگ ہیں، جو آئین پاکستان کے مطابق قومی معیشت کو شریعت کے مطابق مالیاتی نظام کی جانب منتقل کرنے کے لیے اختیار کی گئی ہے۔ ہماری حکمت عملی متوازن اور پائیدار ترقی، مختلف شعبہ جات میں تنوع، اور ضابطہ جاتی و مالیاتی استحکام کو مقررہ معیارات سے بلند سطح پر برقرار رکھنے کو ترجیح دیتی ہے۔ میزان بینک فزیکل اور ڈیجیٹل دونوں چینلز کے ذریعے اپنی موجودگی کو وسعت دے رہا ہے، جبکہ صنعت میں اپنی قائدانہ حیثیت برقرار رکھنے کے لیے اعلیٰ معیار کی ڈیجیٹل بینکاری خدمات کی فراہمی پر خصوصی توجہ مرکوز کیے ہوئے ہے۔

اگرچہ مشرق وسطیٰ میں جاری جغرافیائی سیاسی کشیدگی ممکنہ چیلنجز پیش کرتی ہے، جن میں مارکیٹ میں اتار چڑھاؤ اور مہنگائی کے دباؤ شامل ہیں، لیکن بینک کا مضبوط سرمایہ جاتی ڈھانچہ، محتاط رسک مینجمنٹ اور متنوع آپریشنز اسے چیلنجز سے جلد اتر بناتے ہیں، تاکہ وہ معاشی سرگرمیوں کو سہارا دے سکے اور سرمایہ کاروں کو ڈپازٹرز کا اعتماد برقرار رکھ سکے۔

اظہار تشکر

بورڈ اسٹیٹ بینک آف پاکستان (SBP)، وزارت خزانہ اور سیکریٹریٹ اینڈ ایگزیکٹو کمیشن آف پاکستان (SECP) کو ملک میں ایک مستحکم اسلامی مالیاتی نظام کے قیام کے لیے ان کی مسلسل کوششوں اور وابستگی پر خراج تحسین پیش کرتا ہے۔ میزان بینک کی نمایاں کامیابیاں ہمارے معزز صارفین کے اعتماد اور تعاون کے بغیر ممکن نہ تھیں، جس کے لیے ہم ان کے ممنون احسان ہیں۔ ہم بورڈ آف ڈائریکٹرز، شریعہ بورڈ کے ممبران، حصص یافتگان، اضافی Tier I صکوک اور ثانوی صکوک (Tier II) ہولڈرز کو بھی خراج تحسین پیش کرتے ہیں اور ان کی معاونت کے لیے اظہار تشکر کرتے ہیں، جن کی اجتماعی سرپرستی نے میزان بینک کو ملک کا اولین اور ممتاز اسلامی بینک بنانے میں کلیدی کردار ادا کیا ہے۔

مزید برآں، بورڈ اپنی پرعزم اور مخلص ٹیم کے ہر رکن کو اسلامی بینکاری کا مشن آگے بڑھانے میں اُن کی مثالی کاوشوں اور غیر متزلزل وابستگی پر دل کی گہرائی سے خراج تحسین پیش کرتا ہے۔ سب سے بڑھ کر، ہم اللہ سبحانہ و تعالیٰ کے شکر گزار ہیں کہ اس کی مسلسل رحمت کے باعث ہم اس قلیل عرصے میں اتنی شاندار کامیابیوں کے حصول کے قابل ہوئے ہیں۔ ہم دعا گو ہیں کہ اللہ سبحانہ و تعالیٰ ہمیں مزید رہنمائی، حوصلہ اور دانائی عطا کرے تاکہ ہم اسلامی بینکاری کو بینکار کا پہلا انتخاب بنانے کا اپنا خواب حقیقت کی بلندیوں تک پہنچا سکیں۔ آمین۔

(مخائب بورڈ)



ریاض ایس۔ اے۔ اے۔ اور ایس
چیئرمین

کراچی:

23 اپریل، 2026



ڈاکٹر سید عامر علی
صدر اور CEO

CONDENSED INTERIM UNCONSOLIDATED

STATEMENT OF FINANCIAL POSITION (UNAUDITED)

AS AT MARCH 31, 2026

	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
ASSETS			
Rupees in '000			
Cash and balances with treasury banks	6	288,369,188	330,542,818
Balances with other banks	7	47,894,934	15,388,174
Due from financial institutions	8	5,582,728	12,325,225
Investments	9	2,679,522,332	2,596,837,140
Islamic financing and related assets	10	1,491,867,632	1,640,934,798
Property and equipment	11	50,624,855	50,038,251
Right-of-use assets	12	22,939,677	21,777,193
Intangible assets	13	3,340,895	3,429,762
Deferred tax assets	14	9,881,054	-
Other assets	15	188,376,292	135,287,558
Total Assets		4,788,399,587	4,806,560,919
LIABILITIES			
Bills payable	16	66,865,337	73,767,955
Due to financial institutions	17	593,788,742	887,048,227
Deposits and other accounts	18	3,619,515,399	3,302,842,200
Lease liability against right-of-use assets	19	30,157,638	28,428,316
Sub-ordinated sukuk	20	16,990,000	16,990,000
Deferred tax liabilities	14	-	1,654,497
Other liabilities	21	182,066,133	216,572,601
Total Liabilities		4,509,383,249	4,527,303,796
NET ASSETS		279,016,338	279,257,123
REPRESENTED BY			
Share capital		18,005,546	18,005,546
Reserves		60,500,973	57,960,448
Surplus on revaluation of assets - net of tax	22	3,115,807	14,380,110
Unappropriated profit		197,394,012	188,911,019
		279,016,338	279,257,123
CONTINGENCIES AND COMMITMENTS			
	23		

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED

STATEMENT OF PROFIT AND LOSS ACCOUNT (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2026

	Note	Quarter ended March 31, 2026	Quarter ended March 31, 2025
		Rupees in '000	
Profit / return earned on Islamic financing and related assets, investments and placements	24	105,830,947	107,616,529
Profit / return on deposits and other dues expensed	25	44,404,157	45,826,118
Net profit / return		61,426,790	61,790,411
OTHER INCOME			
Fee and Commission Income	26	6,954,754	5,530,562
Dividend income		1,116,328	707,136
Foreign Exchange Income		1,798,432	1,595,898
Gain / (loss) on securities	27	951,022	11,165
Net gains on derecognition of financial assets measured at amortised cost		-	-
Other income	28	330,288	333,041
Total other income		11,150,824	8,177,802
Total income		72,577,614	69,968,213
OTHER EXPENSES			
Operating expenses	29	22,196,893	18,610,639
Workers welfare fund		952,702	1,016,000
Other charges	30	645	4,606
Total other expenses		23,150,240	19,631,245
Profit before credit loss allowance / provisions		49,427,374	50,336,968
Credit loss allowance and write offs - net	31	448,796	1,858,380
Other income / expenses items		-	-
Profit before taxation		48,978,578	48,478,588
Taxation	32	25,573,901	26,430,990
Profit after taxation		23,404,677	22,047,598
		Rupees	
Basic earnings per share	33	13.00	12.28
Diluted earnings per share	34	12.91	12.22

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED**STATEMENT OF COMPREHENSIVE INCOME (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

	Quarter ended March 31, 2026	Quarter ended March 31, 2025
	Rupees in '000	
Profit after taxation for the quarter	23,404,677	22,047,598
Other comprehensive income / (loss)		
Items that may be reclassified to statement of profit and loss account in subsequent periods:		
- Movement in deficit on revaluation of debt investments through FVOCI - net of tax	(9,305,603)	(9,371,091)
- Gain on derecognition of Debt investments at FVOCI reclassified to profit or loss - net of tax	(451,482)	(5,180)
Items that will not be reclassified to profit and loss account in subsequent periods:		
- Movement in surplus on revaluation of equity investments through FVOCI - net of tax	(1,484,551)	116,829
Total Comprehensive Income for the quarter	12,163,041	12,788,156

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED

STATEMENT OF CHANGES IN EQUITY FOR THE QUARTER ENDED MARCH 31, 2026

	Capital reserves					Revenue reserves	Surplus / (deficit) on revaluation of		Unappropriated profit	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets		
	Rupees in '000									
Balance as at January 01, 2025	17,947,407	3,104,253	40,767,834	3,117,547	945,867	66,766	22,141,192	-	158,893,426	246,984,292
Profit after taxation for the quarter ended March 31, 2025	-	-	-	-	-	-	-	-	22,047,598	22,047,598
Other Comprehensive loss for the quarter ended March 31, 2025 - net of tax										
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(9,371,091)	-	-	(9,371,091)
- Gain on sale of debt investments carried at FVOCI reclassified to profit or loss account - net of tax	-	-	-	-	-	-	(5,180)	-	-	(5,180)
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	116,829	-	-	116,829
Total other comprehensive loss - net of tax	-	-	-	-	-	-	(9,259,442)	-	-	(9,259,442)
Transfer from surplus on revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(218,813)	-	218,813	-
Recognition of share based compensation	-	-	-	-	157,299	-	-	-	-	157,299
Other appropriations										
Transfer to statutory reserve*	-	-	2,204,760	-	-	-	-	-	(2,204,760)	-
Transactions with owners recognised directly in equity										
Final cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	(12,563,185)
Balance as at March 31, 2025	17,947,407	3,104,253	42,972,594	3,117,547	1,103,166	66,766	12,662,937	-	166,391,892	247,366,562
Profit after taxation for the nine months period ended December 31, 2025	-	-	-	-	-	-	-	-	66,993,652	66,993,652
Other comprehensive income for the nine months period ended December 31, 2025 - net of tax										
- Movement in surplus on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	716,417	-	-	716,417
- Gain on sale of debt investments carried at FVOCI reclassified to profit or loss account - net of tax	-	-	-	-	-	-	(450,333)	-	-	(450,333)
- Remeasurement loss on valuation of employee retirement benefits	-	-	-	-	-	-	-	-	(78,863)	(78,863)
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	1,471,531	-	-	1,471,531
Total other comprehensive income - net of tax	-	-	-	-	-	-	1,737,615	-	(78,863)	1,658,752
Transfer from surplus on revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(20,442)	-	20,442	-
Recognition of share based compensation	-	-	-	-	591,599	-	-	-	-	591,599
Other appropriations										
Transfer to statutory reserve*	-	-	6,699,365	-	-	-	-	-	(6,699,365)	-
Transactions with owners recognised directly in equity										
First interim cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	(12,563,185)
Second interim cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,603,883)	(12,603,883)
Third interim cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,603,883)	(12,603,883)
Issue of 5,813,938 shares under the Employees shares option scheme	58,139	774,981	-	-	(469,823)	-	-	-	54,212	417,509
Balance as at December 31, 2025	18,005,546	3,879,234	49,671,959	3,117,547	1,224,942	66,766	14,380,110	-	188,911,019	279,257,123

CONDENSED INTERIM UNCONSOLIDATED
STATEMENT OF CHANGES IN EQUITY
FOR THE QUARTER ENDED MARCH 31, 2026

	Capital reserves					Revenue reserves	Surplus / (deficit) on revaluation of		Unappropriated profit	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets		
	Rupees in '000									
Balance as at December 31, 2025	18,005,546	3,879,234	49,671,959	3,117,547	1,224,942	66,766	14,380,110	-	188,911,019	279,257,123
Profit after taxation for the quarter ended March 31, 2026	-	-	-	-	-	-	-	-	23,404,677	23,404,677
Other Comprehensive income for the quarter ended March 31, 2026 - net of tax										
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(9,305,603)	-	-	(9,305,603)
- Gain on derecognition of Debt investments at FVOCI reclassified to profit or loss - net of tax	-	-	-	-	-	-	(451,482)	-	-	(451,482)
- Movement in surplus on revaluation of investments in equity instruments at FVOCI - net of tax	-	-	-	-	-	-	(1,484,551)	-	-	(1,484,551)
Total other comprehensive loss - net of tax	-	-	-	-	-	-	(11,241,636)	-	-	(11,241,636)
Transfer from surplus on revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(22,667)	-	22,667	-
Recognition of share based compensation	-	-	-	-	200,057	-	-	-	-	200,057
Other appropriations										
Transfer to statutory reserve*	-	-	2,340,468	-	-	-	-	-	(2,340,468)	-
Transactions with owners recognised directly in equity										
Final cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,603,883)	(12,603,883)
Balance as at March 31, 2026	<u>18,005,546</u>	<u>3,879,234</u>	<u>52,012,427</u>	<u>3,117,547</u>	<u>1,424,999</u>	<u>66,766</u>	<u>3,115,807</u>	<u>-</u>	<u>197,394,012</u>	<u>279,016,338</u>

*This represents reserve created under section 21(i)(b) of the Banking Companies Ordinance, 1962.

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM UNCONSOLIDATED

CASH FLOW STATEMENT (UNAUDITED)

FOR THE QUARTER ENDED MARCH 31, 2026

	Note	Quarter ended March 31, 2026	Quarter ended March 31, 2025
Rupees in '000			
CASH FLOW FROM OPERATING ACTIVITIES			
Profit before taxation		48,978,578	48,478,588
Less: Dividend income		(1,116,328)	(707,136)
		<u>47,862,250</u>	<u>47,771,452</u>
Adjustments:			
Depreciation	29	2,004,191	1,629,464
Net profit / return		(62,536,096)	(62,780,973)
Amortisation	29	210,367	174,676
Non cash items related to right-of-use assets	25 & 29	1,872,418	1,701,131
Credit loss allowance and write offs - net	31	448,796	1,858,380
Share based compensation expense	38	200,057	157,299
Unrealised gain - FVTPL	27	9,577	(144)
Gain on sale of property and equipment	28	(79,820)	(152,749)
		<u>(57,870,510)</u>	<u>(57,412,916)</u>
		<u>(10,008,260)</u>	<u>(9,641,464)</u>
(Increase) / Decrease in operating assets			
Due from financial institutions		6,742,350	(1,500,000)
Islamic financings and related assets		148,927,780	112,286,504
Other assets		3,858,768	(9,533,839)
		<u>159,528,898</u>	<u>101,252,665</u>
Increase / (Decrease) in operating liabilities			
Bills payable		(6,902,618)	(62,449,668)
Due to financial institutions		(290,720,458)	(111,858,631)
Deposits and other accounts		316,673,199	295,396,266
Other liabilities		(31,686,507)	(12,305,903)
		<u>(12,636,384)</u>	<u>108,782,064</u>
		<u>136,884,254</u>	<u>200,393,265</u>
Net profit / return received		48,959,347	55,645,222
Net profit / return paid		(44,337,806)	(46,447,074)
Income tax paid		(28,357,979)	(11,862,759)
Net cash generated from operating activities		<u>113,147,816</u>	<u>197,728,654</u>
CASH FLOW FROM INVESTING ACTIVITIES			
Net (investments) / redemption in amortised cost securities		2,630,840	(33,209)
Net (investments) / redemption in securities classified as FVOCI		(108,465,306)	(201,994,398)
Net (investments) / redemption in securities classified as FVTPL		(327,382)	2,678,599
Dividends received		1,095,462	707,136
Investments in property and equipment		(2,678,907)	(2,826,972)
Investments in intangible assets		(121,500)	(166,868)
Proceeds from sale of property and equipment		167,932	323,188
Net cash used in investing activities		<u>(107,698,861)</u>	<u>(201,312,524)</u>
CASH FLOW FROM FINANCING ACTIVITIES			
Payment of lease liability against right-of-use assets		(1,305,580)	(1,147,894)
Dividend paid		(11,270,229)	(530)
Net cash used in financing activities		<u>(12,575,809)</u>	<u>(1,148,424)</u>
Decrease in cash and cash equivalents		<u>(7,126,854)</u>	<u>(4,732,294)</u>
Cash and cash equivalents at the beginning of the quarter	35	343,157,486	272,075,918
Impact of net credit loss allowance on cash and cash equivalents during the quarter		(989)	(1,990)
Cash and cash equivalents at the end of the quarter	35	<u>336,029,643</u>	<u>267,341,634</u>

The annexed notes 1 to 42 form an integral part of this condensed interim unconsolidated financial information.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

1 LEGAL STATUS AND NATURE OF BUSINESS

- 1.1** Meezan Bank Limited (the Bank) was incorporated in Pakistan on January 27, 1997, as a public limited company under the Companies Act, 2017 (previously Companies Ordinance, 1984), and its shares are quoted on the Pakistan Stock Exchange Limited. The Bank was registered as an 'Investment Finance Company' on August 8, 1997, and carried on the business of investment banking as permitted under SRO 585(I)/87 dated July 13, 1987, in accordance and in conformity with the principles of Islamic Shariah. A 'Certificate of Commencement of Business' was issued to the Bank on September 29, 1997.
- 1.2** The Bank was granted a 'Scheduled Islamic Commercial Bank' license on January 31, 2002 and formally commenced operations as a Scheduled Islamic Commercial Bank with effect from March 20, 2002, on receiving notification in this regard from the State Bank of Pakistan (the SBP) under section 37 of the State Bank of Pakistan Act, 1956. Currently, the Bank is engaged in corporate, commercial, consumer, investment and retail banking activities.
- 1.3** The Bank was operating through One thousand one hundred and fifteen branches as at March 31, 2026 (December 31, 2025: One thousand one hundred and five branches). Its registered office is at Meezan House, C-25, Estate Avenue, SITE, Karachi, Pakistan.
- 1.4** 'The VIS Credit Rating Company Limited (VIS) has reaffirmed the Bank's medium to long-term rating as 'AAA' and short-term rating as 'A1+' on June 30, 2025 based on unconsolidated financial statements for the year ended December 31, 2024.

2 BASIS OF PRESENTATION

The Bank provides Islamic financing and related assets mainly through Murabaha, Istisna, Tijarah, Ijarah, Diminishing Musharakah, Running Musharakah, Bai Muajjal, Musawammah, Service Ijarah, Wakalah, Wakalah Tul Istithmar including under Islamic Export Refinance Scheme and various long term islamic refinancing facilities of the State Bank of Pakistan respectively.

The purchases and sales arising under these arrangements are not reflected in these unconsolidated financial statements as such but are restricted to the amount of facility actually utilised and the appropriate portion of profit thereon. The income on such financing is recognised in accordance with the principles of Islamic Shariah. However, income, if any, received which does not comply with the principles of Islamic Shariah is recognised as charity payable if so directed by the Resident Shariah Board Member (RSBM) of the Bank.

3 STATEMENT OF COMPLIANCE

- 3.1** This condensed interim financial information (here-in-after referred to as "financial information") has been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:
- International Accounting Standard (IAS) 34, International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB) as are notified under the Companies Act, 2017;
 - Islamic Financial Accounting Standards (IFAS) issued by the Institute of Chartered Accountants of Pakistan as are notified under the Companies Act, 2017;
 - Provisions of and directives issued under the Banking Companies Ordinance, 1962 and the Companies Act, 2017; and
 - Directives issued by the State Bank of Pakistan (SBP) and the Securities Exchange Commission of Pakistan (SECP).

Whenever the requirements of the Banking Companies Ordinance, 1962, the Companies Act, 2017 or the directives issued by the SBP and the SECP differ with the requirements of IFRS or IFAS, the requirements of the Banking Companies Ordinance, 1962, the Companies Act, 2017 and the said directives, shall prevail.

NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED FINANCIAL INFORMATION (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2026

3.2 The disclosures made in these unconsolidated condensed interim financial statements have been limited based on the format prescribed by the SBP through BPRD Circular Letter No. 02 dated February 09, 2023 and the requirements of International Accounting Standard 34, "Interim Financial Reporting". They do not include all the information and disclosures required for annual financial statements, and therefore should be read in conjunction with the annual audited unconsolidated financial statements of the Bank for the year ended December 31, 2025.

3.3 Standards, interpretations of and amendments to the published accounting and reporting standards that are effective in the current period:

3.3.1 There are certain new and amended standards, interpretations and amendments that have become applicable for the Bank's accounting periods beginning on January 1, 2026 but are considered not to be relevant or do not have any significant effect on the Bank's operations and are therefore not detailed in these condensed interim unconsolidated financial statements.

The SBP has directed the Banks through its BPRD Circular Letter No. 01 dated January 22, 2025 to continue the existing revenue recognition methodology, including the requirements of IFAS 1 and IFAS 2 until further instructions. Had IFRS 9 been adopted in its entirety for revenue recognition from Islamic operations, profit / return earned on Islamic financing and related assets in unconsolidated statement of profit and loss account for the quarter ended March 31, 2026 would have been lower by Rs 2,123 million and taxation would have been lower by Rs 1,104 million. Further, unappropriated profit in unconsolidated statement of changes in equity would have been higher by Rs 2,130 million (December 31, 2025: Rs. 3,149 million).

In addition, the SBP in a separate instructions BPRD/RPD/822456/25 dated January 22, 2025 allowed extension for application of Effective Profit Rate up to December 31, 2025. Based on management assessment and in light of other applicable SBP's instructions, the Bank has implemented EIR during the quarter on its investment in GoP sukuk.

3.4 Standards, interpretations of and amendments to the published accounting and reporting standards that are not yet effective:

3.4.1 The following revised standards, amendments and interpretations with respect to the accounting and reporting standards would be effective from the dates mentioned below against the respective standards, amendments or interpretations:

Standards, interpretations or amendments	Effective Date (annual periods beginning on or after)
- IFRS 18 - 'Presentation and Disclosure in Financial Statements'	January 1, 2027

The management is in the process of assessing the impact of these standards and amendments on the condensed interim unconsolidated financial statements of the Bank.

4. BASIS OF MEASUREMENT

4.1 These unconsolidated financial statements have been prepared under the historical cost convention, except for certain non banking assets acquired in satisfaction of claims which are stated at revalued amounts, investment classified at fair value through profit or loss and fair value through other comprehensive income, commitments in respect of certain foreign exchange contracts which are measured at fair value, staff retirement benefits and compensated absences which are carried at present value.

4.2 Functional and presentation currency

Items included in these condensed interim unconsolidated financial statements are measured using the currency of the primary economic environment in which the Bank operates. These condensed interim unconsolidated financial statements are presented in Pakistani Rupees, which is the Bank's functional and presentation currency.

4.3 Rounding off

Figures have been rounded off to the nearest thousand rupees unless otherwise stated.

4.4 CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

The basis for accounting estimates adopted in the preparation of these condensed interim unconsolidated financial statements are the same as that applied in the preparation of the annual audited unconsolidated financial statements of the Bank for the year ended December 31, 2025.

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

5 SUMMARY OF SIGNIFICANT ACCOUNTING AND FINANCIAL RISK MANAGEMENT POLICIES

The accounting policies applied in the preparation of these condensed interim unconsolidated financial statements are the same as applied in the preparation of the annual audited unconsolidated financial statements of the Bank for the year ended December 31, 2025.

The financial risk management objectives and policies adopted by the Bank are consistent with those disclosed in the annual audited unconsolidated financial statements for the year ended December 31, 2025.

	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
6 CASH AND BALANCES WITH TREASURY BANKS			
Rupees in '000			
In hand			
- local currency		80,604,407	53,186,875
- foreign currencies		4,127,976	2,774,219
		84,732,383	55,961,094
With the State Bank of Pakistan in:			
- local currency current accounts		111,353,973	177,334,102
- foreign currency current accounts		16,768,378	17,725,572
	6.1	128,122,351	195,059,674
With the National Bank of Pakistan in:			
- local currency current accounts		75,518,211	79,533,880
National Prize Bonds	6.2	270	270
Less: Credit loss allowance held against cash and balances with treasury banks		(4,027)	(12,100)
Cash and balances with treasury banks - net of credit loss allowance		288,369,188	330,542,818

6.1 These include local and foreign currency amounts required to be maintained by the Bank with the SBP under the Banking Companies Ordinance, 1962 and / or stipulated by the SBP. These accounts are non-remunerative in nature.

6.2 These represent the national prize bonds received from customers for onward surrendering to SBP. The Bank, as a matter of Shariah principle, does not deal in prize bonds.

		March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
7 BALANCES WITH OTHER BANKS			
Rupees in '000			
In Pakistan			
- in current accounts		21,410,145	11,868,771
Outside Pakistan			
- in current accounts		6,843,087	3,542,098
- in deposit accounts	7.1	19,673,459	-
		26,516,546	3,542,098
Less: Credit loss allowance held against balances with other banks		(31,757)	(22,695)
Balances with other banks - net of credit loss allowance		47,894,934	15,388,174

7.1 It represent the balance in the remunerative account maintained with financial institutions outside Pakistan. The return on these balances ranges from 1.37% to 2.50% (December 31, 2025: Nil) per annum.

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
8 DUE FROM FINANCIAL INSTITUTIONS		Rupees in '000	
Bai Muajjal receivable from other Financial Institution		15,500	15,500
Musharakah placements - outside Pakistan - unsecured	8.1	5,583,066	12,325,416
		5,598,566	12,340,916
Less: Credit loss allowance held against due from financial institutions	8.2	(15,838)	(15,691)
Due from financial institutions - net of provision		5,582,728	12,325,225

- 8.1** The effective average return on this product is 3.65% (December 31, 2025: 3.83%) per annum. The balance has matured in April 2026 (December 31, 2025: January 2026).

	March 31, 2026 (Unaudited)		December 31, 2025 (Audited)	
	Due from financial institutions	Credit loss allowance held	Due from financial institutions	Credit loss allowance held
	Rupees in '000			
8.2 Category of classification				
Performing - Stage 1	-	-	8,403,693	13
Under performing - Stage 2	5,583,066	338	3,921,723	178
Non-performing - Stage 3 (Loss)	15,500	15,500	15,500	15,500
Total	5,598,566	15,838	12,340,916	15,691

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

9 INVESTMENTS

9.1 Investments by types:

	March 31, 2026 (Unaudited)				December 31, 2025 (Audited)			
	Cost / amortised cost	Credit loss allowance	Surplus / (deficit)	Carrying Value	Cost / amortised cost	Credit loss allowance	Surplus / (deficit)	Carrying Value
	Rupees in '000							
FVTPL securities								
- Federal Government securities	1,236,865	-	-	1,236,865	909,861	-	-	909,861
- Units of mutual funds	76,761	-	10,450	87,211	76,383	-	19,594	95,977
- Non Government Sukuk	933,000	-	6,131	939,131	933,000	-	6,564	939,564
	<u>2,246,626</u>	<u>-</u>	<u>16,581</u>	<u>2,263,207</u>	<u>1,919,244</u>	<u>-</u>	<u>26,158</u>	<u>1,945,402</u>
FVOCI securities								
- Federal Government Securities	2,184,610,920	-	1,855,343	2,186,466,263	2,078,057,070	-	22,244,965	2,100,302,035
- Shares	11,553,652	-	4,488,451	16,042,103	9,552,908	-	7,628,487	17,181,395
- Non Government Sukuk	10,293,472	317,379	235,217	10,211,310	10,355,525	317,597	22,659	10,060,587
- Foreign Securities	10,792,047	1,186	(87,746)	10,703,115	10,819,282	1,186	62,451	10,880,547
	<u>2,217,250,091</u>	<u>318,565</u>	<u>6,491,265</u>	<u>2,223,422,791</u>	<u>2,108,784,785</u>	<u>318,783</u>	<u>29,958,562</u>	<u>2,138,424,564</u>
Amortized Cost securities								
- Federal Government Securities	451,913,998	-	-	451,913,998	454,544,838	-	-	454,544,838
In related parties								
Associates								
- Units of mutual funds	859,286	-	-	859,286	859,286	-	-	859,286
Subsidiaries								
- Shares	1,063,050	-	-	1,063,050	1,063,050	-	-	1,063,050
Total Investments	<u>2,673,333,051</u>	<u>318,565</u>	<u>6,507,846</u>	<u>2,679,522,332</u>	<u>2,567,171,203</u>	<u>318,783</u>	<u>29,984,720</u>	<u>2,596,837,140</u>

9.1.1 Details of investment in subsidiary and associates

	March 31, 2026 (Unaudited)						
	Percentage of holding %	Assets	Liabilities	Revenue	Profit / (loss) after taxation	Total comprehensive income / (loss)	Market value / net asset share
	Rupees in '000						
Subsidiaries (unlisted)							
Al Meezan Investment Management Limited	65.00%	9,183,145	3,225,322	1,611,789	250,036	250,036	N/A
Meezan Exchange Company (Private) Limited	100.00%	1,535,441	21,729	39,862	(17,787)	(17,787)	N/A
Associates (open ended - listed)							
Meezan Balanced Fund	10.82%	4,562,414	85,066	(407,248)	(455,216)	(455,216)	484,581
Al Meezan Mutual Fund	4.79%	21,013,763	215,827	(3,881,967)	(4,143,427)	(4,143,427)	996,396
Meezan Islamic Fund	3.13%	58,178,946	704,383	(9,594,148)	(10,278,496)	(10,278,496)	1,798,893
Meezan Rozana Amdani Fund	0.00%	21,365,427	40,682	597,828	515,467	515,467	517
Meezan Gold Fund	3.20%	11,196,706	77,923	1,522,630	1,450,198	1,450,198	355,862
KSE Meezan Index Fund	5.35%	6,469,685	57,051	(989,656)	(1,016,387)	(1,016,387)	342,938
Meezan Cash Fund	0.00%	243,682,366	367,662	6,382,182	5,574,417	5,574,417	5,395
Meezan Islamic Income Fund	0.03%	18,125,102	84,979	477,701	379,478	379,478	5,345
		<u>384,594,409</u>	<u>1,633,573</u>	<u>(5,892,678)</u>	<u>(7,973,966)</u>	<u>(7,973,966)</u>	<u>3,989,927</u>

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

		December 31, 2025					
	Percentage of holding %	Assets	Liabilities	Revenue	Profit / (loss) after taxation	Total comprehensive income / (loss)	Market value / net asset share
Subsidiaries (unlisted)		Rupees in '000					
Al Meezan Investment Management Limited	65.00%	10,399,202	3,191,415	10,077,316	4,157,600	4,157,600	N/A
Meezan Exchange Company (Private) Limited	100.00%	1,058,545	27,109	167,241	836	836	N/A
Associates (open ended - listed)							
Meezan Balanced Fund	10.74%	5,020,372	72,632	984,672	818,563	818,563	531,295
Al Meezan Mutual Fund	4.68%	25,560,147	283,334	5,926,327	5,232,036	5,232,036	1,183,791
Meezan Islamic Fund	3.26%	65,642,680	1,143,199	18,137,753	16,030,819	16,030,819	2,103,655
Meezan Rozana Amdani Fund	-	31,568,686	78,788	4,581,601	3,977,978	3,977,978	517
Meezan Gold Fund	3.69%	8,555,689	272,526	2,145,387	1,998,729	1,998,729	305,515
KSE Meezan Index Fund	6.31%	6,318,519	52,679	1,772,382	1,669,653	1,669,653	395,467
Meezan Cash Fund	-	264,997,361	927,468	22,905,987	20,112,947	20,112,947	5,278
Meezan Islamic Income Fund	0.03%	20,034,591	89,311	2,586,956	2,044,770	2,044,770	5,239
		<u>427,698,045</u>	<u>2,919,937</u>	<u>59,041,065</u>	<u>51,885,495</u>	<u>51,885,495</u>	<u>4,530,757</u>

Subsidiary and associates are incorporated / registered in Pakistan. Shares in subsidiary are placed in custody account with Central Depository of Pakistan and cannot be sold without the prior approval of SECP in accordance with the SECP's circular No. 9 of 2006 dated June 15, 2006.

9.1.2 Investments given as collateral

	March 31, 2026 (Unaudited)		December 31, 2025 (Audited)	
	Cost / amortised cost	Market value	Cost / amortised cost	Market value
Rupees in '000				
Federal Government Securities				
- Sukuk	<u>381,800,000</u>	<u>384,027,220</u>	<u>628,000,000</u>	<u>635,567,800</u>

9.2 Credit loss allowance against investments

	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
Rupees in '000		
Opening balance	318,783	344,866
Charge / (reversals)		
ECL charge for the quarter / year	-	1,460
ECL reversals for the quarter / year	(218)	(27,543)
	(218)	(26,083)
Closing balance	<u>318,565</u>	<u>318,783</u>

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	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
Tijarah financing and related assets			
- Tijarah financing		5,275,634	5,697,698
- Tijarah inventory		16,235,901	20,681,640
- Financing under Islamic Export Refinance - Tijarah		862,748	1,072,026
- Inventory under Islamic SME Asaan Finance		209,543	190,261
- Inventory under Islamic Export Refinance - Tijarah		339,483	921,639
		22,923,309	28,563,264
Musawammah financing and related assets			
- Musawammah financing	10.2	19,091,026	28,413,174
- Financing under Islamic Export Refinance - Musawammah	10.2	380,963	313,810
- Financing under SBP's Islamic Financing Facility for Renewable Energy (IFRE) - Musawammah	10.2	425,258	453,478
- Financing against Islamic SME Asaan Finance	10.2	3,333	4,167
- Advances against Musawammah		13,829,094	14,634,779
- Musawammah Inventory		6,221,534	20,850,389
- Advance against Islamic SME Asaan Finance		-	-
- Advances under Islamic Export Refinance - Musawammah		201,442	277,737
- Inventory under Islamic Export Refinance - Musawammah		73,000	-
		40,225,650	64,947,534
Salam Financing and related assets			
- Salam Financing		2,733,283	3,156,907
- Advances against Salam		35,190,345	37,490,065
- Salam Inventory		4,050,562	3,581,976
		41,974,190	44,228,948
Financing against bills			
- Financing against bills - Salam		642,669	1,027,208
- Advance against bills - Salam		1,738	1,738
		644,407	1,028,946
- Bai Muajjal financing	10.3	70,589,391	76,319,397
Ijarah financing and related assets			
- Net investment in Ijarah		48,147	48,147
- Net book value of assets / investment in Ijarah under IFAS 2		111,305,850	98,978,088
	10.4	111,353,997	99,026,235
- Advances against Ijarah		17,202,562	14,316,223
		128,556,559	113,342,458
Diminishing Musharakah financing and related assets			
- Diminishing Musharakah financing		380,171,672	403,873,112
- Diminishing Musharakah financing - housing		18,979,285	18,441,541
- Diminishing Musharakah financing - SBP's Islamic Financing Facility for Storage of Agricultural Produce (IFFSAP)		1,008,988	1,023,127
- Diminishing Musharakah financing - SBP's Islamic Financing Facility for Renewable Energy (IFRE)		13,906,923	13,866,661
- Diminishing Musharakah financing - SBP's Islamic Refinance Facility for Combating COVID - 19 (IRFCC)		-	13,836
- Diminishing Musharakah financing - SBP's Islamic SME Asaan Finance (I-SAAF) Scheme		3,152,401	3,335,175
- Diminishing Musharakah financing - SBP's Islamic Long Term Financing Facility (ILTFF) for Plant & Machinery		15,596,579	16,353,397
- Diminishing Musharakah financing - SBP's Islamic Temporary Economic Refinance Facility (ITERF)		10,634,987	11,064,358
- Diminishing Musharakah financing - under SBP's Islamic Refinance Facility for Modernization of SMEs (IRFMS)		392,895	413,031
- Diminishing Musharakah financing - SBP's Islamic Refinance and Credit Guarantee Scheme for Women Entrepreneurs (IRCGSWE)		30,282	33,125
- Advances against Diminishing Musharakah		49,382,003	21,112,666
- Advances against Diminishing Musharakah under SBP's IFFSAP		105,000	158,000
- Advances against Diminishing Musharakah under SBP's IFRE		652,082	1,327,913
- Advances against Diminishing Musharakah under SBP's IRFCC		36,343	36,343
- Advances against Diminishing Musharakah under SBP's ISAAF		183,553	240,293
- Advances against Diminishing Musharakah under SBP's ITERF		332,500	427,230
- Advances against Diminishing Musharakah under SBP's IRCGSWE		556	278
- Advances against Diminishing Musharakah under SBP's ILTFF		6,647,008	2,955,795
		501,213,057	494,675,881

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	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
- Musharakah financing		1,701,155	1,701,188
- Advances against Service Ijarah		41,372,471	42,113,067
- Qard financing under SBP's IRFCC		-	5,802
- Labbaik (Qard for Hajj and Umrah)		338	742
- Staff financing (including under SBP's IFRE)	10.5	11,092,950	10,601,312
- Other financing		1,215,443	1,210,512
Gross Islamic Financing and Related Assets	10.6	1,537,335,681	1,686,266,807
Less: Credit Loss Allowance - Stage 1	10.7.1	(2,432,066)	(2,444,933)
Less: Credit Loss Allowance - Stage 2	10.7.1	(3,281,714)	(3,012,754)
Less: Credit Loss Allowance - Stage 3	10.7.1	(26,154,269)	(26,274,322)
Less: Provision against non-performing Islamic financing and related assets - General	10.7.1	(13,600,000)	(13,600,000)
Islamic financing and related assets - net of credit loss allowance		1,491,867,632	1,640,934,798
10.1 Murabaha receivable - gross	10.1.1	10,356,261	11,130,890
Less: Deferred murabaha income	10.1.3	(247,971)	(261,583)
Profit receivable shown in other assets		(163,477)	(212,811)
Murabaha financing	10.1.2	9,944,813	10,656,496
10.1.1 Murabaha Sale Price		10,356,261	11,130,890
Murabaha Purchase Price		(9,944,813)	(10,656,496)
		411,448	474,394
10.1.2 The movement in Murabaha financing during the quarter / year is as follows:			
Opening balance		10,656,496	7,674,763
Sales during the quarter / year		22,894,862	53,531,217
Adjusted during the quarter / year		(23,606,545)	(50,549,484)
Closing balance		9,944,813	10,656,496
10.1.3 Deferred murabaha income			
Opening balance		261,583	145,025
Arising during the quarter / year		585,554	2,878,281
Recognised during the quarter / year		(599,166)	(2,761,723)
Closing balance		247,971	261,583
10.2 Musawammah financing - gross		20,786,684	30,577,478
Less: Deferred income		(454,871)	(707,425)
Profit receivable shown in other assets		(431,233)	(685,424)
Musawammah financing		19,900,580	29,184,629
10.3 Bai Muajjal financing - gross		104,355,182	111,931,910
Less: Deferred income		(33,340,086)	(34,533,347)
Profit receivable shown in other assets		(425,705)	(1,079,166)
Bai Muajjal financing		70,589,391	76,319,397
10.4 Net book value of assets / investments in Ijarah under IFAS 2 is net of depreciation of Rs 62,343 million (December 31, 2025: Rs 58,911 million).			

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- 10.5** This includes Rs 1,126 million (December 31, 2025: Rs 1,127 million) representing profit free financing to staff advanced under the Bank's Human Resource Policies.

	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
	Rupees in '000	
10.6 Particulars of financing - Gross		
- in local currency	1,442,355,477	1,577,459,239
- in foreign currencies	94,980,204	108,807,568
	<u>1,537,335,681</u>	<u>1,686,266,807</u>

- 10.7** Islamic financing and related assets include Rs 30,188 million (December 31, 2025: Rs 31,018 million) which have been placed under non-performing status (Stage 3 under IFRS 9) as detailed below:

	March 31, 2026 (Unaudited)		December 31, 2025 (Audited)	
Category of classification - Stage 3 under IFRS 9	Non-performing amount	Credit loss allowance	Non-performing amount	Credit loss allowance
	Rupees in '000			
Domestic				
Other Assets Especially Mentioned	-	-	3,888	1,672
Substandard	5,821,371	3,627,904	6,517,309	3,596,876
Doubtful	7,403,075	5,932,844	7,521,012	5,969,140
Loss	16,963,805	16,593,521	16,975,914	16,706,634
Total	<u>30,188,251</u>	<u>26,154,269</u>	<u>31,018,123</u>	<u>26,274,322</u>

- 10.7.1** Particulars of credit loss allowance against Islamic financing and related assets:

	March 31, 2026 (Unaudited)					December 31, 2025 (Audited)				
	Expected credit loss			General	Total	Expected credit loss			General	Total
	Stage 1	Stage 2	Stage 3			Stage 1	Stage 2	Stage 3		
	Rupees in '000									
Opening balance	2,444,933	3,012,754	26,274,322	13,600,000	45,332,009	2,609,888	1,511,416	23,885,078	13,600,000	41,606,382
Exchange Adjustment for the quarter / year	-	-	(3,346)	-	(3,346)	-	-	3,234	-	3,234
Net ECL Charge / (reversal) for the quarter / year:										
Charge for the quarter / year	651,030 (663,897)	570,808 (301,848)	1,282,304 (1,399,011)	-	2,504,142 (2,364,756)	1,072,025 (1,236,980)	2,453,008 (951,670)	5,553,072 (3,167,062)	-	9,078,105 (5,355,712)
Less: Reversals the quarter / year	(12,867)	268,960	(116,707)	-	139,386	(164,955)	1,501,338	2,386,010	-	3,722,393
Transfer to other liabilities	-	-	-	-	-	-	-	-	-	-
Amount written off	-	-	-	-	-	-	-	-	-	-
Closing balance	2,432,066	3,281,714	26,154,269	13,600,000	45,468,049	2,444,933	3,012,754	26,274,322	13,600,000	45,332,009

- 10.7.2** In addition, the Bank has also maintained a general provision of Rs 13,600 million (December 31, 2025: Rs 13,600 million) against financing made on prudent basis, in view of prevailing economic conditions. This general provision is in addition to the requirements of IFRS 9. This general provision can be maintained till December 31, 2026 under BPRD circular No. 1 of 2025 dated January 22, 2025.

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10.7.3 In accordance with BSD Circular No. 2 dated January 27, 2009 issued by the SBP, the Bank has availed the benefit of Forced Sales Value (FSV) of collaterals against certain non-performing financing under SBP prudential regulations for calculation of provision under such regulations. The accumulated benefit availed amounts to Rs. 449.30 million (December 31, 2025: Rs. 408.38 million). The additional profit arising from availing the FSV benefit - net of tax amounts to Rs. 215.67 million (December 31, 2025: Rs. 191.94 million). The increase in profit, due to availing of the benefit, is not available for distribution of cash and stock dividend to share holders.

10.7.4 Islamic financing and related assets - particulars of credit loss allowance

	March 31, 2026 (Unaudited)					December 31, 2025 (Audited)				
	Expected credit loss			General	Total	Expected credit loss			General	Total
	Stage 1	Stage 2	Stage 3			Stage 1	Stage 2	Stage 3		
	Rupees in '000									
Opening balance	2,444,933	3,012,754	26,274,322	13,600,000	45,332,009	2,609,888	1,511,416	23,885,078	13,600,000	41,606,382
Fresh disbursements	187,103	44,380	123,062	-	354,545	863,624	28,766	2,081,754	-	2,974,144
Amount derecognised / repaid	(291,435)	(34,932)	(1,330,720)	-	(1,657,087)	(470,594)	(58,869)	(2,951,738)	-	(3,481,201)
Transfer to stage 1	24,499	(24,282)	(217)	-	-	492,545	(492,545)	-	-	-
Transfer to stage 2	(107,077)	107,077	-	-	-	(290,431)	417,149	(126,718)	-	-
Transfer to stage 3	(19)	(108,843)	108,862	-	-	(34,696)	(39,242)	73,938	-	-
Exchange adjustment for the year	-	-	-	-	-	-	-	-	-	-
	(186,929)	(16,600)	(1,099,013)	-	(1,302,542)	560,448	(144,741)	(922,764)	-	(507,057)
Amounts written off / charged off	-	-	-	-	-	-	-	-	-	-
Changes in risk parameters	174,062	285,560	982,306	-	1,441,928	(725,403)	1,646,079	3,308,774	-	4,229,450
Other changes including FX	-	-	(3,346)	-	(3,346)	-	-	3,234	-	3,234
Closing balance	2,432,066	3,281,714	26,154,269	13,600,000	45,468,049	2,444,933	3,012,754	26,274,322	13,600,000	45,332,009

10.7.5 Category of classification under IFRS 9

	March 31, 2026 (Unaudited)		December 31, 2025 (Audited)	
	Gross Amount	Credit loss allowance	Gross Amount	Credit loss allowance
	Rupees in '000			
Domestic				
Performing - Stage 1 under IFRS 9	1,344,002,354	2,432,066	1,496,118,261	2,444,933
Underperforming - Stage 2 under IFRS 9	163,145,076	3,281,714	159,130,423	3,012,754
Non-Performing - including Stage 3 under IFRS 9				
Other Assets Especially Mentioned	-	-	3,888	1,672
Substandard	5,821,371	3,627,904	6,517,309	3,596,876
Doubtful	7,403,075	5,932,844	7,521,012	5,969,140
Loss	16,963,805	16,593,521	16,975,914	16,706,634
	30,188,251	26,154,269	31,018,123	26,274,322
Total	1,537,335,681	31,868,049	1,686,266,807	31,732,009

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	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
11 PROPERTY AND EQUIPMENT			
Capital work-in-progress	11.1	6,591,626	5,999,282
Property and equipment		44,333,229	44,338,969
		50,924,855	50,338,251
Less: Provision against capital work-in-progress		(300,000)	(300,000)
		50,624,855	50,038,251
11.1 Capital work-in-progress			
Advances to suppliers and contractors for:			
- civil works		3,289,526	3,293,823
- computer hardware		786,642	713,539
- purchase of vehicles		895,287	273,940
- office machines		1,253,904	1,373,279
- furniture and fixtures		366,267	344,701
		6,591,626	5,999,282
		March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		Rupees in '000	
11.2 Additions / transfers to property and equipment			
The following additions / transfers from non banking assets have been made to property and equipment during the quarter:			
Capital work-in-progress		592,344	(130,656)
Property and equipment			
Leasehold land		126,568	51,851
Building on leasehold land		227,179	370,535
Leasehold improvements		476,722	457,194
Furniture and fixture		191,410	441,750
Electrical, office and computer equipment		828,109	735,273
Vehicles		236,575	620,400
		2,086,563	2,677,003
		2,678,907	2,546,347
11.3 Disposal of property and equipment			
The net book value of property and equipment disposed off during the quarter is as follows:			
Leasehold improvements		8,353	391
Furniture and fixture		330	34
Electrical, office and computer equipment		1,646	2,415
Vehicles		77,783	167,599
		88,112	170,439
12 RIGHT-OF-USE ASSETS		March 31, 2026 (Unaudited)	
	Cost	Accumulated Depreciation	Net Book Value
		Rupees in '000	
At January 1,	36,965,569	(15,188,376)	21,777,193
Additions during the quarter	1,925,596	-	1,925,596
Depreciation Charge	-	(763,112)	(763,112)
Derecognition during the quarter	(610,860)	610,860	-
At March 31,	38,280,305	(15,340,628)	22,939,677

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		December 31, 2025 (Audited)	
		Cost	Accumulated Depreciation
		Rupees in '000	
			Net Book Value
At January 1,		33,624,561	(12,394,364)
Additions during the year		3,423,389	-
Depreciation Charge		-	(2,876,393)
Derecognition during the year		(82,381)	82,381
At December 31,		36,965,569	(15,188,376)
			21,777,193

		March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
Computer Software		2,266,718	2,356,915
Advance against computer software		1,074,177	1,072,847
		3,340,895	3,429,762

13.1 Additions to intangible assets		March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		Rupees in '000	
Additions (Net) during the quarter		121,500	166,868

		March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
14 DEFERRED TAX ASSET			
Taxable temporary differences on:			
Excess of accounting book values over tax written down values of owned assets		(1,092,786)	(1,325,892)
Surplus on revaluation of FVOCI investments		(3,375,458)	(15,578,452)
Surplus on revaluation of FVTPL investments		(8,622)	(13,602)
Surplus on revaluation of non-banking			
Right-of-use assets		(11,928,632)	(11,324,140)
		(16,405,498)	(28,242,086)
Deductible temporary differences on:			
Net credit loss allowance against investments		165,540	165,767
Income not accrued due to non-culmination of financing		2,307,663	3,411,814
Lease liability against right-of-use assets		15,681,972	14,782,766
Net credit loss allowance against non-performing			
Islamic financing and related assets		7,560,951	7,812,844
Others		570,426	414,398
		26,286,552	26,587,589
		9,881,054	(1,654,497)

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	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
15 OTHER ASSETS			
Profit / return accrued in local currency - net of provisions		130,523,674	73,890,154
Profit / return accrued in foreign currencies - net of provisions		919,980	681,900
Acceptances		23,787,743	25,440,891
Advances, deposits, and other prepayments		17,189,843	15,799,142
Non-banking assets acquired in satisfaction of claims		521,392	521,392
Mark to market gain on forward foreign exchange contracts		1,705,442	2,518,214
Receivables on account of sale of securities		-	18,062
Dividends receivable		21,127	261
Stamps		37,547	38,215
Security deposits		534,881	552,230
Advance for Investments		500,000	-
Receivable from State Bank of Pakistan under Home Remittance		12,067,387	10,734,906
Receivable under alternate delivery channel		124,909	4,784,283
Other		891,132	767,420
		188,825,057	135,747,070
Less: Credit loss allowance / provision held against other assets	15.1.1	(448,765)	(459,512)
Other Assets (net of provision)		188,376,292	135,287,558
Surplus on revaluation of non-banking assets acquired in satisfaction of claims	22	-	-
Other assets - total		188,376,292	135,287,558
15.1 Credit loss allowance / provision held against other assets		March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
Credit loss allowance against other assets			
Profit / return accrued & Others		129,120	77,399
Acceptances		9,630	22,090
		138,750	99,489
Provision against other assets			
Non-banking assets acquired in satisfaction of claims		17,972	17,972
Others		292,043	342,051
		310,015	360,023
		448,765	459,512
15.1.1 Movement in credit loss allowance / provision held against other assets			
Opening balance		459,512	344,733
Charge for the quarter / year (including ECL)		75,076	306,728
Reversals for the quarter / year		(82,889)	(152,002)
Amount adjusted / written off		(2,934)	(39,947)
Closing balance		448,765	459,512

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		March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
16	BILLS PAYABLE		
	In Pakistan	66,865,337	73,767,955
	Outside Pakistan	-	-
		<u>66,865,337</u>	<u>73,767,955</u>
17	DUE TO FINANCIAL INSTITUTIONS		
	In Pakistan	593,788,742	887,048,227
	Outside Pakistan	-	-
		<u>593,788,742</u>	<u>887,048,227</u>
	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
17.1	Details of due to financial institutions - secured / unsecured		
	Secured		
	With State Bank of Pakistan		
	Musharakah under Islamic Export Refinance Scheme	34,725,044	39,928,382
	Investment under Islamic Long Term Financing Facility	15,288,861	16,112,761
	Investment under Islamic Refinance Facility for Combating COVID-19	24,380	55,981
	Investment under Islamic Financing for Renewal Energy	14,689,487	15,331,117
	Investment under Islamic Temporary Economic Refinance Facility for Plant and Machinery	10,613,383	11,048,651
	Investment under Islamic Refinance Scheme for storage of agriculture produce	1,008,988	1,071,071
	Investment under Islamic Refinance and Credit Guarantee for Women Entrepreneurs (IRCGSWE)	38,199	41,973
	Investment under Islamic Refinance Scheme for Working Capital Finance	50,000	50,000
	Investment under Islamic Refinance Scheme for modernization of SMEs (IRFMS)	389,943	421,969
	Investment under Islamic Refinance Scheme for SME Asaan Finance	4,683,293	4,846,580
	Investment under Shariah Compliant Open Market Operations	275,830,327	29,807,956
	Investment under Shariah Compliant Standing Ceiling Facility	107,578,022	444,054,944
	Total secured	<u>464,919,927</u>	<u>562,771,385</u>
	With Scheduled Bank		
	Other financial institutions	8,287,590	155,000,000
			7,973,336
	Unsecured		
	Overdrawn nostro accounts	234,479	2,773,506
	Musharakah with scheduled banks / financial institutions	120,346,746	158,530,000
		<u>593,788,742</u>	<u>887,048,227</u>

17.1.1 These represent acceptance of funds by the Bank on Mudarabah basis which has been invested in special pools of the Bank and are secured against lien of the Bank's investment in Federal Government securities. The expected average return on Open Market Operations is 10.59% (December 2025: 10.56%) per annum and Standing Ceiling Facility is 11.50% (December 2025: 11.50%) per annum.

17.1.2 These represents acceptance of funds by the Bank on Musharakah basis. The expected average return on these Musharakah is around 10.20% (December 31, 2025: 10.38%) per annum. These balances are maturing latest by May 2026 (December 31, 2025: January 2026).

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18 DEPOSITS AND OTHER ACCOUNTS

	March 31, 2026 (Unaudited)			December 31, 2025 (Audited)		
	In Local Currency	In Foreign Currencies	Total	In Local Currency	In Foreign Currencies	Total
	Rupees in '000					
Customers						
- Current accounts - non-remunerative	1,733,186,077	76,044,795	1,809,230,872	1,492,909,032	73,740,245	1,566,649,277
- Savings deposits	1,411,117,219	88,617,800	1,499,735,019	1,327,066,220	86,367,358	1,413,433,578
- Fixed deposits	245,869,048	14,584,300	260,453,348	268,077,826	14,512,825	282,590,651
- Margin	17,291,691	72,853	17,364,544	20,623,920	246,738	20,870,658
	3,407,464,035	179,319,748	3,586,783,783	3,108,676,998	174,867,166	3,283,544,164
Financial institutions						
- Current accounts - non-remunerative	16,996,922	56,327	17,053,249	1,588,353	200,949	1,789,302
- Savings deposits	13,100,733	174,034	13,274,767	12,653,980	344,154	12,998,134
- Fixed deposits	2,403,600	-	2,403,600	4,510,600	-	4,510,600
	32,501,255	230,361	32,731,616	18,752,933	545,103	19,298,036
	3,439,965,290	179,550,109	3,619,515,399	3,127,429,931	175,412,269	3,302,842,200

	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
19 LEASE LIABILITY AGAINST RIGHT-OF-USE ASSETS		Rupees in '000	
As at January 1,		28,428,316	25,848,322
Additions		1,925,596	3,423,389
Amortisation of lease liability against right-of-use assets		1,109,306	4,176,644
Derecognition during the quarter / year		-	-
Payments		(1,305,580)	(5,020,039)
As at March 31 / December 31,		30,157,638	28,428,316

20 SUB-ORDINATED SUKUK

Additional Tier I Sukuk	20.1	7,000,000	7,000,000
Tier II Sukuk	20.2	9,990,000	9,990,000
		16,990,000	16,990,000

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20.1 In August 2018, the Bank issued regulatory Shariah compliant unsecured, sub-ordinated privately placed Additional Tier I Sukuk based on Mudaraba of Rs. 7,000 million as instrument of redeemable capital under section 66 of the Companies Act, 2017. The brief description of Additional Tier I sukuk is as follows:

Credit Rating	AA+ (Double A Plus) by VIS Credit Rating Company Limited
Issue Date	August 01, 2018
Tenor	Perpetual
Profit payment frequency	Monthly in arrears
Redemption	Perpetual. However, the Bank has call option which can be exercised with prior approval of SBP.
Expected Periodic Profit Amount (Mudaraba Profit Amount) - Non discretionary subject to profit of the pool	The Mudaraba Profit is computed under General Pool on the basis of profit sharing ratio and monthly weightages announced by the Bank under the SBP guidelines of pool management. Last announced profit rate on the Sukuk is 12.23% per annum.
Call Option	The Bank may call Additional Tier I Sukuk with prior approval of SBP on or after five years from the date of issue.
Loss Absorbency	The Additional Tier I Sukuk, at the option of the SBP, will be fully and permanently converted into common shares (variable) upon the occurrence of a point of non-viability trigger event as determined by SBP or for any other reason as may be directed by SBP.
Lock-in-Clause	Profit and/or redemption amount can be held back in respect of the Additional Tier I Sukuk, upon directive of the SBP, if such payment will result in a shortfall in the Bank's minimum capital requirement, capital adequacy ratio requirement or leverage ratio requirement.

20.2 In December 2021, the Bank issued regulatory Shariah compliant unsecured, subordinated privately placed Tier II Sukuks based on Mudaraba of Rs. 9,990 million as instrument of redeemable capital under section 66 of the Companies Act, 2017. The brief description of Tier II sukuku is as follows:

Credit Rating	AAA (Triple A) by VIS Credit Rating Company Limited
Issue Date	December 16, 2021
Tenor	10 years from the issue date
Profit payment frequency	Semi-annually in arrears
Redemption	Bullet payment at the end of the tenth year
Expected Periodic Profit Amount (Mudaraba Profit Amount) - Non-discretionary subject to actual profit of the pool	The Mudaraba Profit is computed under General Pool on the basis of profit sharing ratio and monthly weightages announced by the Bank under the SBP guidelines of pool management. Last announced profit rate on the Sukuku is 11.60% per annum.
Call Option	The Bank may call Tier II Sukuk with prior approval of SBP on or after five years from the date of issue.
Loss Absorbency	The Tier II Sukuk, at the option of the SBP, will be fully and permanently converted into common shares (variable) upon the occurrence of a point of non-viability trigger event as determined by SBP or for any other reason as may be directed by SBP.
Lock-in-Clause	Profit and/or redemption amount can be held back in respect of the Tier II Sukuk upon directive of the SBP, if such payment will result in a shortfall in the Bank's minimum capital requirement, capital adequacy ratio requirement or leverage ratio requirement.

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	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
21 OTHER LIABILITIES		Rupees in '000	
Return on deposits and other dues			
- payable in local currency		12,018,769	11,957,873
- payable in foreign currencies		367,371	361,916
Unearned income		9,927,379	8,975,298
Accrued expenses	21.1	29,053,628	35,756,050
Current taxation (provision less payments)		5,018,021	8,444,986
Acceptances		23,787,743	25,440,891
Dividend payable (including unclaimed dividend)		1,377,975	44,321
Payable to defined benefit plan		509,210	2,624,413
Credit loss allowance against off-balance sheet obligations	21.2	565,171	275,119
Charity payable		12,588	2,135
Security deposits against Ijarah		40,230,647	34,228,937
Payable on account of credit murabaha / ijarah / musawammah		198,839	837,998
Security deposits against lockers		263,584	257,649
Mark to market loss on forward foreign exchange commitments - net		2,238,792	1,731,205
Withholding taxes payable		347,050	1,295,863
Workers Welfare Fund payable		19,080,770	18,128,068
Payable under Alternate Delivery Channel		32,989,829	62,915,680
Others		4,078,767	3,294,199
		182,066,133	216,572,601

- 21.1** During the quarter, the Bank reversed Rs 3,000 million on account of an estimate for variable remuneration relating to prior years based on the assessment finalised during the current quarter.

	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
21.2 ECL against off-balance sheet obligations	Rupees in '000	
Opening balance	275,119	302,882
Charge for the quarter / year	373,205	222,750
Reversals for the quarter / year	(83,153)	(250,513)
Closing balance	565,171	275,119

22 SURPLUS ON REVALUATION OF ASSETS - NET OF TAX

Securities measured at FVOCI-Debt	2,002,814	22,330,075
Securities measured at FVOCI-Equity	4,488,451	7,628,487
	6,491,265	29,958,562
Less: Deferred tax asset / (liability) on		
- Securities measured at FVOCI-Debt	(1,041,463)	(11,611,639)
- Securities measured at FVOCI-Equity	(2,333,995)	(3,966,813)
	(3,375,458)	(15,578,452)
	3,115,807	14,380,110

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	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
		Rupees in '000	
23 CONTINGENCIES AND COMMITMENTS			
- Guarantees	23.1	96,040,753	94,577,231
- Commitments	23.2	1,935,272,982	1,739,809,762
- Other contingent liabilities	23.3	1,802,000	1,802,000
		2,033,115,735	1,836,188,993
23.1 Guarantees:			
Financial guarantees		30,395	30,395
Performance guarantees		63,016,986	59,177,602
Other guarantees		32,993,372	35,369,234
		96,040,753	94,577,231
23.2 Commitments:			
Documentary letters of credit		347,857,136	311,246,151
Commitments in respect of:			
- forward foreign exchange transactions	23.2.1	429,750,625	380,719,312
Commitments for acquisition of:			
- property and equipment		787,711	1,619,997
- intangible assets		1,400,268	1,077,033
Other commitments	23.2.2	1,155,477,242	1,045,147,269
		1,935,272,982	1,739,809,762
23.2.1 Commitments in respect of forward foreign exchange contracts			
Purchase		222,752,209	200,854,639
Sale		206,998,416	179,864,673
		429,750,625	380,719,312
23.2.2 Other Commitments			
Commitments in respect of financing (including irrevocable commitments)		1,155,477,242	1,045,147,269
23.3 Other contingent liabilities			

The Income Tax Department amended the deemed assessment orders of the Bank for prior years including the tax year 2025. The additions / disallowances were mainly due to allocation of expenses relating to dividends and capital gain, allowability of provision against Islamic financing and related assets, provision against investments and provision against other assets. In the amended order for tax year 2015, additional issues with respect to the taxability of gain on bargain purchase, non-adjustment of loss pertaining to HSBC Bank Middle East – Pakistan Branches and the levy of super tax were also raised. The matter has been decided in Bank's favour by Appellate Tribunal Inland Revenue. Both the Bank and the tax department filed a reference with the High Court of Sindh in respect of the aforementioned matters.

The management of the Bank, in consultation with its tax advisors, is confident that the decision in respect of the above matters would be in Bank's favour and accordingly no provision has been made in these unconsolidated financial statements with respect thereto. The additional tax liability in respect of gain on bargain purchase and non-adjustment of loss pertaining to HSBC Bank Middle East – Pakistan Branches is Rs 1,096 million and Rs 706 million respectively.

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	Note	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		Rupees in '000	
24	PROFIT / RETURN EARNED ON ISLAMIC FINANCING AND RELATED ASSETS, INVESTMENTS AND PLACEMENTS		
On financing	24.1	36,091,597	43,686,706
On investments		69,616,997	62,816,897
On deposits / placements with financial institutions		122,353	1,112,926
		<u>105,830,947</u>	<u>107,616,529</u>
24.1	The income on Ijarah under IFAS 2 is net of takaful of Rs 1,096 million (March 31, 2025: Rs 773 million) recovered from customers.		
24.2	Profit / return recorded on financial assets measured at:		
- Fair Value through Profit and Loss		19,712	62,805
- Fair Value through OCI		67,888,913	59,838,080
- Amortized Cost		37,922,322	47,715,644
		<u>105,830,947</u>	<u>107,616,529</u>
25	PROFIT / RETURN ON DEPOSITS AND OTHER DUES EXPENSED	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		Rupees in '000	
Deposits and other accounts	25.1	27,417,370	26,292,902
Sub-ordinated Sukuk		500,029	625,872
Shariah Compliant Open Market Operations and Standing Ceiling Facility from the State Bank of Pakistan		9,371,219	14,736,227
Other Musharakahs / Mudarabas		6,006,233	3,180,555
Amortisation of lease liability against right-of-use assets		1,109,306	990,562
		<u>44,404,157</u>	<u>45,826,118</u>
25.1	This includes conversion cost of Rs 160 million (March 31, 2025: conversion cost of Rs 253 million) against foreign currency deposits.		
26	FEE AND COMMISSION INCOME	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		Rupees in '000	
Trade related fees and commissions		1,588,279	1,503,033
Commission on guarantees		107,767	86,316
Branch banking customer fees		1,212,081	948,742
Credit related fees		56,862	25,809
Debit card related fees		3,209,354	2,222,389
Investment banking related fees		328,076	98,201
Commission on cash management		164,308	129,469
Commission on home remittances		119,055	233,618
Wealth management related fees		167,366	280,922
Others		1,606	2,063
		<u>6,954,754</u>	<u>5,530,562</u>
27	GAIN / (LOSS) ON SECURITIES		
Realised - net	27.1	960,599	11,021
Unrealised - FVTPL / held for trading - net		(9,577)	144
		<u>951,022</u>	<u>11,165</u>
27.1	Realised gain on:		
Federal Government securities		960,599	11,021
Listed shares		-	-
		<u>960,599</u>	<u>11,021</u>

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	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
	Rupees in '000	
27.1.1 Net gain / (loss) on financial assets measured at FVOCI under IFRS 9	960,599	11,021
Net gain / (loss) on financial assets measured at FVTPL under IFRS 9	(9,577)	144
	<u>951,022</u>	<u>11,165</u>
28 OTHER INCOME		
Gain on termination of Islamic financing	249,628	179,850
Gain on sale of operating fixed assets	79,820	152,749
Others	840	442
	<u>330,288</u>	<u>333,041</u>
29 OPERATING EXPENSES		
Total compensation expense	10,748,638	8,901,009
Property expense		
Depreciation on right-of-use assets	763,112	710,569
Rent and taxes	21,282	40,858
Utilities cost (including electricity and diesel)	756,713	567,290
Security (including guards)	601,073	607,383
Repair and maintenance (including janitorial charges)	460,591	417,829
Depreciation	433,368	326,892
Others (including takaful expense)	6,783	5,260
	<u>3,042,922</u>	<u>2,676,081</u>
Information technology expenses		
Software maintenance	841,695	661,369
Hardware maintenance	151,412	117,779
Depreciation	590,370	488,979
Amortisation	210,367	174,676
Network charges	104,560	89,197
	<u>1,898,404</u>	<u>1,532,000</u>
Other operating expenses		
Stationery and printing (including debit card related cost)	537,875	730,849
Repairs and maintenance	280,580	376,656
Local transportation and car running	757,756	503,618
Depreciation on vehicles, equipment etc.	980,453	813,593
Legal and professional charges	94,524	72,524
NIFT and other clearing charges	141,911	91,374
Marketing, advertisement and publicity	861,605	578,820
Security charges - cash transportation	483,432	480,104
Communication (including courier)	1,372,267	1,005,074
Travelling and conveyance	136,834	116,740
Training and development	37,787	27,177
Fees, subscription and other charges	390,707	273,712
Brokerage and bank charges	95,407	114,909
Office supplies	170,989	149,544
Entertainment	23,929	22,064
Takaful expense	67,651	84,121
Outsourced services costs	13,495	7,294
Auditors' Remuneration	21,300	21,500
Fees and allowances to Shariah Board	18,902	16,534
Directors' fees and allowances	18,660	15,160
Others	865	182
	<u>6,506,929</u>	<u>5,501,549</u>
	<u>22,196,893</u>	<u>18,610,639</u>

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	Note	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		<u>Rupees in '000</u>	
30 OTHER CHARGES			
Penalties imposed by the State Bank of Pakistan		<u>645</u>	<u>4,606</u>
31 CREDIT LOSS ALLOWANCE AND WRITE OFFS - NET			
Net Credit loss allowance against Islamic financing and related assets - net	10.7.1	139,386	1,609,373
Net Credit loss allowance against diminution in value of investments	9.2	(218)	(348)
Net Credit loss allowance against cash and balance with treasury banks		(8,073)	(637)
Net Credit loss allowance against due from financial institutions		147	2
Net Credit loss allowance against balances with other banks		9,062	2,627
Net Credit loss allowance / provision / reversals against other assets	15.1.1	(7,813)	17,990
Bad debts written off directly		-	-
Net Credit loss allowance against off-balance sheet obligations	21.2	290,052	231,065
Provision / reversals against other liabilities		26,253	34,333
Recoveries of written off financings		-	(36,025)
		<u>448,796</u>	<u>1,858,380</u>
32 TAXATION			
Current	32.1	24,906,458	28,485,331
Deferred		667,443	(2,054,341)
		<u>25,573,901</u>	<u>26,430,990</u>
32.1	The Bank has recognised super tax charge of Rs 4,777 million (Q1 2025: Rs 5,279 million) in the current quarter based on taxable income for the quarter.		
33 BASIC EARNINGS PER SHARE		<u>Rupees in '000</u>	
Profit for the quarter		<u>23,404,677</u>	<u>22,047,598</u>
		<u>(Number)</u>	
Weighted average number of ordinary shares		<u>1,800,554,600</u>	<u>1,794,740,700</u>
		<u>Rupees</u>	
Basic earnings per share		<u>13.00</u>	<u>12.28</u>
34 DILUTED EARNINGS PER SHARE		<u>Rupees in '000</u>	
Profit for the quarter		<u>23,404,677</u>	<u>22,047,598</u>
		<u>(Number)</u>	
Weighted average number of ordinary shares	34.1	<u>1,812,682,516</u>	<u>1,803,833,914</u>
		<u>Rupees</u>	
Diluted earnings per share		<u>12.91</u>	<u>12.22</u>
34.1 Reconciliation of basic and diluted earning per share		<u>(Number)</u>	
Weighted average number of ordinary shares		<u>1,800,554,600</u>	<u>1,794,740,700</u>
Add: Diluted impact of Employee stock option scheme		<u>12,127,916</u>	<u>9,093,214</u>
Dilutive potential ordinary shares		<u>1,812,682,516</u>	<u>1,803,833,914</u>

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	Note	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
		Rupees in '000	
35 CASH AND CASH EQUIVALENTS			
Cash and balances with treasury banks	6	288,369,188	258,906,808
Balances with other banks	7	47,894,934	11,439,091
Over Drawn Nostros	17	(234,479)	(3,004,265)
		<u>336,029,643</u>	<u>267,341,634</u>

36 FAIR VALUE MEASUREMENTS

Fair value measurement defines fair value as the price that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value of quoted securities other than those classified as amortised cost, is based on quoted market price. Quoted debt securities classified as amortised cost are carried at cost. The fair value of unquoted equity securities, other than investments in associates and subsidiaries, is determined on the basis of valuation methodologies. The fair value of unquoted debt securities, fixed term financings, other assets, other liabilities, fixed term deposits and due to financial institutions cannot be calculated with sufficient reliability due to the absence of a current and active market for these assets and liabilities and reliable data regarding market rates for similar instruments.

In the opinion of the management, the fair value of the remaining financial assets and liabilities are not significantly different from their carrying values since these are either short-term in nature or, in the case of customer financings and deposits, are frequently repriced.

36.1 Fair value of financial assets

The Bank measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

Level 1: Fair value measurements using quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Fair value measurements using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Fair value measurements using input for the asset or liability that are not based on observable market data (i.e. unobservable inputs).

	March 31, 2026 (Unaudited)				
	Carrying value	Level 1	Fair value Level 2	Level 3	Total
	Rupees in '000				
On balance sheet financial instruments					
Financial assets - measured at fair value					
Investments					
- Federal Government securities	2,187,703,128	1,264,149,319	923,553,809	1,236,865	2,188,939,993
- Shares	16,129,314	15,660,969	87,211	381,134	16,129,314
- Non Government Sukus	11,150,441	-	10,179,484	970,957	11,150,441
- Foreign Securities	10,703,115	-	10,692,726	10,389	10,703,115
	2,225,685,998	1,279,810,288	944,513,230	2,599,345	2,226,922,863
Financial assets - disclosed but not measured at fair value					
Investments					
- Federal Government securities	451,913,998	-	61,695,260	390,295,665	451,990,925
	451,913,998	-	61,695,260	390,295,665	451,990,925
	2,677,599,996	1,279,810,288	1,006,208,490	392,895,010	2,678,913,788
Off-balance sheet financial instruments - measured at fair value					
Forward purchase of foreign exchange	2,177,948	-	2,177,948	-	2,177,948
Forward sale of foreign exchange	1,644,597	-	1,644,597	-	1,644,597

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	December 31, 2025 (Audited)				
	Carrying value	Level 1	Fair value Level 2	Level 3	Total
	Rupees in '000				
On balance sheet financial instruments					
Financial assets - measured at fair value					
Investments					
- Federal Government securities	2,101,211,896	1,148,274,703	952,937,193	-	2,101,211,896
- Shares	17,277,372	16,800,261	95,977	381,134	17,277,372
- Non Government Sukuks	11,000,151	-	11,000,151	-	11,000,151
- Foreign Securities	10,880,547	-	10,870,158	10,389	10,880,547
	<u>2,140,369,966</u>	<u>1,165,074,964</u>	<u>974,903,479</u>	<u>391,523</u>	<u>2,140,369,966</u>
Financial assets - disclosed but not measured at fair value					
Investments					
- Federal Government securities	454,544,838	-	64,605,563	390,295,665	454,901,228
	<u>454,544,838</u>	<u>-</u>	<u>64,605,563</u>	<u>390,295,665</u>	<u>454,901,228</u>
	<u>2,594,914,804</u>	<u>1,165,074,964</u>	<u>1,039,509,042</u>	<u>390,687,188</u>	<u>2,595,271,194</u>
Off-balance sheet financial instruments - measured at fair value					
Forward purchase of foreign exchange	<u>1,477,922</u>	<u>-</u>	<u>1,477,922</u>	<u>-</u>	<u>1,477,922</u>
Forward sale of foreign exchange	<u>2,264,932</u>	<u>-</u>	<u>2,264,932</u>	<u>-</u>	<u>2,264,932</u>

36.2 Fair value of non-financial assets

Fair value of non-financial assets		March 31, 2026 (Unaudited)				
		Carrying value	Level 1	Fair value Level 2	Level 3	Total
		Rupees in '000				
Non-banking assets acquired in satisfaction of claims		503,420	-	-	503,420	503,420
		503,420	-	-	503,420	503,420
		December 31, 2025 (Audited)				
		Carrying value	Level 1	Fair value Level 2	Level 3	Total
		Rupees in '000				
Non-banking assets acquired in satisfaction of claims		503,420	-	-	503,420	503,420
		503,420	-	-	503,420	503,420

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
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Non-banking assets acquired in satisfactions of claims are carried at revalued amounts (level 3 measurement) determined by professional valuers based on their assessment of the market values.

Valuation techniques used in determination of fair values

Item	Valuation approach and input used
Listed Securities	The valuation has been determined through closing rates of Pakistan Stock Exchange.
GoP Ijarah Sukuk	The fair value of GoP Ijarah sukuks listed on Pakistan Stock Exchange has been determined through closing rates of Pakistan Stock Exchange. The fair value of other GoP Ijarah sukuks are derived using PKISRV rates. The PKISRV rates are announced by FMA (Financial Market Association) through Reuters. The rates announced are simple average of quotes received from eight different pre-defined / approved dealers / brokers.
Foreign Sukuk	These are measured at fair value using the rates published by the valuation expert (Bloomberg).
Forward foreign exchange contracts	The valuation has been determined by interpolating the mid rates announced by SBP.
Non-banking assets acquired in satisfaction of claims	NBAs are valued by professionally qualified valuers as per the accounting policy disclosed in these unconsolidated financial statements of the Bank for the year ended December 31, 2025.
Mutual Funds	The valuation has been determined based on net asset values (NAV) declared by respective funds.
Unquoted Equity Securities	Fair value of investment in Sapphire Electric Company Limited has been determined by Dividend Discount Model (DDM) by using constant dividends streams of the entity using various key assumptions considering economic and market conditions. Key assumptions include discount rate and terminal growth rate (if applicable).
Corporate sukuks	The valuation has been determined through closing rates announced by FMA (Financial Market Association) through Reuters or discounted cash flow methodology as deemed appropriate.

The Bank's policy is to recognise transfers into and out of the different fair value hierarchy levels at the date the event or change in circumstances that caused the transfer occurred.

There were no transfers between levels 1 and 2 during the quarter.

Fair value of Islamic financing and related assets, unquoted sukuk, other assets, other liabilities and fixed term deposits and other accounts and due to financial institutions cannot be calculated with sufficient reliability due to absence of current and active market for such assets and liabilities and reliable data regarding market rates for similar instruments.

In the opinion of the management, the fair value of the remaining financial assets and liabilities are not significantly different from their carrying values since these assets and liabilities are short term in nature or in the case of financings and deposits are frequently repriced.

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
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37 SEGMENT INFORMATION

37.1 Segment Details with respect to Business Activities

Segment Details with respect to Business Activities	2026					Total
	Corporate and Commercial banking	Retail Banking	Trading & Sales	Others	Inter-segment Eliminations	
	Rupees in '000					
Profit and loss account for the quarter ended March 31, 2026 (Unaudited)						
External Funded Revenue	32,964,252	3,484,692	69,382,003	-	-	105,830,947
External Non funded Revenue	2,037,683	1,836,243	3,866,215	3,410,683	-	11,150,824
Inter segment revenue - net	-	84,489,157	-	392,514	(84,881,671)	-
Total Income	35,001,935	89,810,092	73,248,218	3,803,197	(84,881,671)	116,981,771
External cost of funds	1,346,543	28,765,728	14,291,886	-	-	44,404,157
Segment direct expenses	647,571	19,530,305	295,734	2,676,630	-	23,150,240
Inter segment expense allocation	29,235,559	-	55,646,112	-	(84,881,671)	-
Total expenses	31,229,673	48,296,033	70,233,732	2,676,630	(84,881,671)	67,554,397
Net ECL / Provisions / (Reversals) and write offs - net	465,479	(52,315)	9,128	26,504	-	448,796
Profit before tax	3,306,783	41,566,374	3,005,358	1,100,063	-	48,978,578
Statement of financial position as at March 31, 2026 (Unaudited)						
Cash and Bank balances	26,484,689	305,097,263	-	4,682,170	-	336,264,122
Due from financial institutions - net	-	-	5,582,728	-	-	5,582,728
Investments - net	11,149,253	-	2,668,373,079	-	-	2,679,522,332
Net inter segment lending	-	3,309,609,834	-	35,517,314	(3,345,127,148)	-
Islamic financings and related assets - net	1,349,238,725	142,628,907	-	-	-	1,491,867,632
Others	43,949,774	109,915,333	120,663,329	634,337	-	275,162,773
Total Assets	1,430,822,441	3,867,251,337	2,794,619,136	40,833,821	(3,345,127,148)	4,788,399,587
Due to financial institutions	76,242,055	13,557,115	503,989,572	-	-	593,788,742
Deposits and other accounts	-	3,619,515,399	-	-	-	3,619,515,399
Subordinated Sukuk	16,990,000	-	-	-	-	16,990,000
Net inter segment borrowing	1,219,278,128	-	2,125,849,020	-	(3,345,127,148)	-
Others	34,939,342	201,685,484	1,940,250	40,524,032	-	279,089,108
Total liabilities	1,347,449,525	3,834,757,998	2,631,778,842	40,524,032	(3,345,127,148)	4,509,383,249
Equity	83,372,916	32,493,339	162,840,294	309,789	-	279,016,338
Total Equity and liabilities	1,430,822,441	3,867,251,337	2,794,619,136	40,833,821	(3,345,127,148)	4,788,399,587
Contingencies and Commitments	1,599,375,131	3,989,979	429,750,625	-	-	2,033,115,735
2025						
Segment Details with respect to Business Activities	Corporate and Commercial banking	Retail Banking	Trading & Sales	Others	Inter-segment Eliminations	Total
	Rupees in '000					
Profit and loss account for the quarter ended March 31, 2025 (Unaudited)						
External Funded Revenue	41,101,056	3,049,802	63,465,671	-	-	107,616,529
External Non funded Revenue	1,745,697	1,588,865	2,314,764	2,528,476	-	8,177,802
Inter segment revenue - net	-	78,726,497	-	74,388	(78,800,885)	-
Total Income	42,846,753	83,365,164	65,780,435	2,602,864	(78,800,885)	115,794,331
External Cost of funds	1,620,769	27,539,540	16,665,809	-	-	45,826,118
Segment direct expenses	511,656	16,897,309	242,067	1,980,213	-	19,631,245
Inter segment expense allocation	36,513,718	-	42,287,167	-	(78,800,885)	-
Total expenses	38,646,143	44,436,849	59,195,043	1,980,213	(78,800,885)	65,457,363
Net ECL / Provisions / (Reversals) and write offs - net	1,839,664	(16,119)	2,427	32,408	-	1,858,380
Profit before tax	2,360,946	38,944,434	6,582,965	590,243	-	48,478,588
Statement of financial position as at December 31, 2025 (Audited)						
Cash and Bank balances	3,519,303	328,711,413	-	13,700,276	-	345,930,992
Due from financial institutions - net	-	-	12,325,225	-	-	12,325,225
Investments - net	10,998,843	-	2,585,838,297	-	-	2,596,837,140
Net inter segment lending	-	3,009,284,975	-	51,428,568	(3,060,713,543)	-
Islamic financings and related assets - net	1,513,471,064	127,463,734	-	-	-	1,640,934,798
Others	44,107,572	96,499,687	64,704,035	5,221,470	-	210,532,764
Total assets	1,572,096,782	3,561,959,809	2,662,867,557	70,350,314	(3,060,713,543)	4,806,560,919
Due to financial institutions	83,419,224	13,462,601	790,166,402	-	-	887,048,227
Deposits and other accounts	-	3,302,842,200	-	-	-	3,302,842,200
Subordinated Sukuk	16,990,000	-	-	-	-	16,990,000
Net inter segment borrowing	1,344,400,777	-	1,716,312,766	-	(3,060,713,543)	-
Others	35,949,287	213,545,068	1,678,037	69,250,977	-	320,423,369
Total liabilities	1,480,759,288	3,529,849,869	2,508,157,205	69,250,977	(3,060,713,543)	4,527,303,796
Equity	91,337,494	32,109,940	154,710,352	1,099,337	-	279,257,123
Total Equity and liabilities	1,572,096,782	3,561,959,809	2,662,867,557	70,350,314	(3,060,713,543)	4,806,560,919
Contingencies and Commitments	1,450,970,651	4,499,030	380,719,312	-	-	1,836,188,993

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
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FOR THE QUARTER ENDED MARCH 31, 2026**

38 RELATED PARTY TRANSACTIONS

38.1 Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions and includes a subsidiary company, associated companies, retirement benefit funds, directors, and key management personnel and their close family members.

38.2 The Banks enters into transactions with related parties in the ordinary course of business and on substantially the same terms as for comparable transactions with person of similar standing. Contributions to and accruals in respect of staff retirement benefits and other benefit plans are made in accordance with the actuarial valuations / terms of the contribution plan. Remuneration and other benefit to the key management personnel is determined in accordance with the terms of their appointment.

38.3 Subsidiary company

- Al Meezan Investment Management Limited
- Meezan Exchange Company (Private) Limited

38.4 Associates

Associates include mutual funds managed by Al Meezan Investment Management Limited and entities having common directorship with the Board. However, entities are not considered related party only if common director is an independent director working on both the Boards.

38.5 Key management personnel

- President and Chief Executive Officer

38.6 Details of transactions with related parties and balances with them as at the quarter-end as are follows. Balances pertaining to parties that were related at the beginning of the year but ceased to be related during any part of the current quarter are not reflected as part of the closing balance. However, new related parties (as applicable) have been added during the quarter. The same are accounted for through the movement presented above.

	Total		Subsidiary		Associates		Directors and close family members		Key management personnel and close family members		Other related parties	
	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)
Rupees in '000												
Islamic financing and related assets												
At January 1,	93,660	82,900	-	-	-	-	-	-	93,660	82,900	-	-
Addition during the quarter / year	-	15,850	-	-	-	-	-	-	-	15,850	-	-
Repayment / redemption / deletion during the quarter / year	(1,974)	(5,090)	-	-	-	-	-	-	(1,974)	(5,090)	-	-
At March 31 / December 31	91,686	93,660	-	-	-	-	-	-	91,686	93,660	-	-
Investments												
At January 1,	1,922,333	1,922,333	1,063,050	1,063,050	859,283	859,283	-	-	-	-	-	-
Addition during the quarter / year	-	-	-	-	-	-	-	-	-	-	-	-
Repayment / redemption / deletion during the quarter / year	-	-	-	-	-	-	-	-	-	-	-	-
At March 31 / December 31	1,922,333	1,922,333	1,063,050	1,063,050	859,283	859,283	-	-	-	-	-	-
Deposits	9,604,446	9,443,127	342,267	684,767	7,590,749	7,660,890	441,329	319,072	82,538	39,694	1,147,563	738,704
Other Assets												
Profit receivable on financing / investments / placements	44	44	-	-	-	-	-	-	44	44	-	-
Advance against investments	500,000	-	500,000	-	-	-	-	-	-	-	-	-
Fee and Other Receivable	365,874	202,628	330,310	177,254	35,564	25,374	-	-	-	-	-	-
Provision against ECL	61	39	44	24	5	3	-	-	12	12	-	-

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
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FOR THE QUARTER ENDED MARCH 31, 2026**

Total		Subsidiary		Associates		Directors and close family members		Key management personnel and close family members		Other related parties	
March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)	March 31, 2026 (Unaudited)	Dec 31, 2025 (Audited)
Rupees in '000											

Due to financial institutions

At January 1,	85,960,000	47,130,000	-	-	85,960,000	47,130,000	-	-	-	-	-
Addition during the quarter / year	241,214,000	457,553,200	-	-	241,214,000	457,553,200	-	-	-	-	-
Repayment / redemption / deletion during the quarter / year	(267,645,000)	(418,723,200)	-	-	(267,645,000)	(418,723,200)	-	-	-	-	-
At March 31 / December 31	59,529,000	85,960,000	-	-	59,529,000	85,960,000	-	-	-	-	-

Sub-ordinated Sukuk

At January 1,	210,000	210,000	-	-	210,000	210,000	-	-	-	-	-
Addition during the quarter / year	-	-	-	-	-	-	-	-	-	-	-
Repayment / redemption / deletion during the quarter / year	-	-	-	-	-	-	-	-	-	-	-
At March 31 / December 31	210,000	210,000	-	-	210,000	210,000	-	-	-	-	-

Other liabilities

Payable to defined benefit plan	509,210	2,624,413	-	-	-	-	-	-	1,225,685	509,210	1,398,728
Accrued Expenses	27,389	22,559	17,093	9,600	-	-	2,100	10,296	10,859	-	-
Unearned Income	11,052	9,539	-	-	11,052	9,539	-	-	-	-	-
Profit payable on musharakah acceptance	832,459	1,049,943	-	-	832,459	1,049,943	-	-	-	-	-

Contingencies and Commitments

Letters of Guarantee (unfunded)	2,500,100	100	100	100	2,500,000	-	-	-	-	-	-
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**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

Transactions, income and expenses	Total		Subsidiary		Associates		Directors and close family members		Key management personnel and close family members		Other related parties	
	March 31, 2026	March 31, 2025	March 31, 2026	March 31, 2025	March 31, 2026	March 31, 2025	March 31, 2026	March 31, 2025	March 31, 2026	March 31, 2025	March 31, 2026	March 31, 2025
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Rupees in '000												
Profit earned on financing / investments / placements	1,797	1,018	-	-	-	-	-	-	1,797	1,018	-	-
Fees and other income earned	170,167	296,446	152,128	211,029	17,870	85,309	18	1	110	47	41	60
Dividend income earned	975,000	650,000	975,000	650,000	-	-	-	-	-	-	-	-
Return on deposits / acceptance expensed	2,230,681	541,818	3,631	2,739	2,208,305	514,151	682	1,241	2,967	1,367	15,096	22,320
Charge for defined benefit plan	509,210	423,147	-	-	-	-	-	-	-	-	509,210	423,147
Contribution to defined contribution plan	291,966	256,086	-	-	-	-	-	-	-	-	291,966	256,086
Contribution to staff benevolent fund	100,212	95,751	-	-	-	-	-	-	-	-	100,212	95,751
ECL charge / (reversals)	22	306	21	(9)	1	310	-	-	-	5	-	-
Fees expensed	14,389	7,401	13,495	7,294	894	107	-	-	-	-	-	-
Charity Paid	1,000	-	-	-	1,000	-	-	-	-	-	-	-
Recovery of expenses	9,225	7,250	9,225	7,250	-	-	-	-	-	-	-	-
Remuneration to key management personnel	32,923	90,434	-	-	-	-	-	-	32,923	90,434	-	-
Fee to non-executive directors	18,660	15,160	-	-	-	-	18,660	15,160	-	-	-	-

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

**39 CAPITAL ADEQUACY, LEVERAGE RATIO &
LIQUIDITY REQUIREMENTS**

	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
	Rupees in '000	
Minimum Capital Requirement (MCR)		
Paid-up capital (net of losses)	18,005,546	18,005,546
Capital Adequacy Ratio		
Eligible Common Equity Tier 1 (CET 1) Capital	272,303,729	261,159,000
Eligible Additional Tier 1 (ADT 1) Capital	7,000,000	7,000,000
Total Eligible Tier 1 Capital	279,303,729	268,159,000
Eligible Tier 2 Capital	25,246,678	36,676,439
Total Eligible Capital (Tier 1 + Tier 2)	304,550,407	304,835,439
Risk weighted assets (RWAs):		
Credit Risk	971,269,652	984,506,336
Market Risk	58,743,036	74,813,511
Operational Risk	528,664,481	528,664,481
Total	1,558,677,169	1,587,984,328
Common Equity Tier 1 Capital Adequacy ratio	17.47%	16.45%
Tier 1 Capital Adequacy Ratio	17.92%	16.89%
Total Capital Adequacy Ratio	19.54%	19.20%
Leverage ratio (LR):		
Tier-1 Capital	279,303,729	268,159,000
Total Exposures	5,353,423,550	5,151,309,338
Leverage Ratio	5.22%	5.21%
Liquidity Coverage Ratio (LCR):		
Total High Quality Liquid Assets	2,050,288,012	2,007,784,674
Total Net Cash Outflow	776,614,969	639,582,984
Liquidity Coverage Ratio	264%	314%
Net Stable Funding Ratio (NSFR):		
Total Available Stable Funding	3,445,017,405	3,170,842,648
Total Required Stable Funding	1,612,254,694	1,613,365,501
Net Stable Funding Ratio	214%	197%

40 GENERAL

40.1 Corresponding figures have been rearranged and reclassified where necessary for better presentation.

40.2 The Bank has been notified as a shariah compliant business by Pakistan Stock Exchange (PSX) vide Notice PSX/N-1419 dated December 26, 2025. Accordingly, the Bank is required to make below additional disclosures.

The bank only enters into relation with conventional banks on need basis under Shariah compliant arrangement in line with Shariah Board guidelines. All local or Nostro accounts with conventional bank are non-remunerative accounts therefore no interest income is earned on them. As a policy the Bank does not enter into any direct relationship with conventional insurers.

On liability side, the Bank mainly raises funds through deposits, SBP / interbank acceptances and sub-ordinated sukuk. These amounts are baed on islamic principles of Mudaraba, Musharakah, Qard etc. Outstanding position of these liabilities are as under:

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM UNCONSOLIDATED
FINANCIAL INFORMATION (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

	Note	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
Rupees in '000			
Due to financial institutions	17	593,788,742	887,048,227
Deposits and other accounts	18	3,619,515,399	3,302,842,200
Sub-ordinated sukuk	20	16,990,000	16,990,000
		4,230,294,141	4,206,880,427

Total profit accrued against these liabilities during the quarter was Rs 44,404 million (March 31, 2025: Rs 45,826 million). In accordance with shariah guidelines, no liability was raised through any conventional mode of financing / advance and thus no interest was accrued or paid.

On investment side, the Bank has made investment in GoP shariah compliant securities (mainly sukuk and bai muajjal), privately placed corporate sukuk, listed and unlisted shariah compliant equities (including those of subsidiaries, associates and mutual funds). Further bank balances / placements (including those with foreign correspondent banks) have been held under islamic mode of placements. Outstanding position of these assets are as under:

Balance with State Bank of Pakistan and National Bank of Pakistan	6	203,640,562	274,593,554
Balances with other banks	7	47,894,934	15,388,174
Due from financial institutions	8	5,582,728	12,325,225
Investments	9	2,679,522,332	2,596,837,140
		2,936,640,556	2,899,144,093

The Bank neither deal in conventional derivative financial instruments nor provide any conventional loan / advance. Any amount recovered due to late payment is recognised and taken as charity payable by the bank. Below are the details of revenue earned from shariah compliant businesses:

	Note	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
Rupees in '000			
Profit / return earned on Islamic financing and related assets, investments and placements	24	105,830,947	107,616,529
Fee and commission income	26	6,954,754	5,530,562
Dividend income		1,116,328	707,136
Foreign exchange income		1,798,432	1,595,898
Gain / (loss) on securities	27	951,022	11,165
Other income	28	330,288	333,041
		116,981,771	115,794,331

41 NON-ADJUSTING EVENT

The Board of Directors in their meeting held on April 23, 2026 has announced interim cash dividend of Rs 7.50 per share (75%). This condensed interim unconsolidated financial information does not include the effect of this appropriation which will be accounted for subsequent to the quarter end.

42 DATE OF AUTHORISATION

This condensed interim financial information were authorised for issue on April 23, 2026 by the Board of Directors of the Bank.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

**CONDENSED INTERIM CONSOLIDATED
FINANCIAL STATEMENTS**

**CONDENSED INTERIM CONSOLIDATED
STATEMENT OF FINANCIAL POSITION
AS AT MARCH 31, 2026**

**March 31,
2026
(Unaudited)** **December 31,
2025
(Audited)**

ASSETS

	Rupees in '000	
Cash and balances with treasury banks	289,077,586	330,810,281
Balances with other banks	47,795,682	15,439,064
Due from financial institutions	5,582,728	12,325,225
Investments	2,689,363,620	2,608,334,204
Islamic financing and related assets	1,491,867,632	1,640,934,798
Property and equipment	51,356,337	50,826,681
Right-of-use assets	23,309,504	22,174,737
Intangible assets	3,395,671	3,493,490
Deferred tax asset	8,469,015	-
Other assets	188,152,846	135,596,974
Total Assets	4,798,370,621	4,819,935,454

LIABILITIES

Bills payable	66,865,337	73,767,955
Due to financial institutions	593,788,742	887,048,227
Deposits and other accounts	3,619,173,132	3,302,337,407
Lease liability against right-of-use assets	30,601,098	28,889,130
Sub-ordinated sukuk	16,990,000	16,990,000
Deferred tax liabilities	-	3,607,635
Other liabilities	184,522,384	219,097,035
Total Liabilities	4,511,940,693	4,531,737,389

NET ASSETS

286,429,928 **288,198,065**

REPRESENTED BY

Share capital	18,005,546	18,005,546
Reserves	60,525,289	57,984,764
Surplus on revaluation of assets - net of tax	3,115,807	14,380,110
Unappropriated profit	202,698,047	195,304,919
	284,344,689	285,675,339

Non-controlling Interest

2,085,239 **2,522,726**
286,429,928 **288,198,065**

The annexed notes 1 to 4 form an integral part of these consolidated condensed interim financial statements.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED

STATEMENT OF PROFIT AND LOSS ACCOUNT (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2026

	Quarter ended March 31, 2026	Quarter ended March 31, 2025
	Rupees in '000	
Profit / return earned on Islamic financing and related assets, investments and placements	105,846,038	107,619,969
Profit on deposits and other dues expensed	44,414,723	45,837,453
Net profit / return	61,431,315	61,782,516
OTHER INCOME		
Fee and commission income	9,085,766	7,211,977
Dividend income	141,328	57,136
Foreign exchange income	1,798,432	1,597,750
Gain on securities	952,803	11,165
Other income	364,172	364,089
Total other income	12,342,501	9,242,117
Total income	73,773,816	71,024,633
OTHER EXPENSES		
Operating expenses	23,085,956	19,167,397
Workers Welfare Fund	965,223	1,043,979
Other charges	645	8,763
Total other expenses	24,051,824	20,220,139
Share of profit of associates	49,721,992	50,804,494
Profit before credit loss allowance / provisions	(1,213,216)	338,492
	48,508,776	51,142,986
Credit loss allowance and write offs - net	448,796	1,858,380
Other income / expenses items	-	-
Profit Before Taxation	48,059,980	49,284,606
Taxation	25,657,655	26,866,315
Profit After Taxation	22,402,325	22,418,291
Attributable to:		
Shareholders of the Holding company	22,314,812	22,106,837
Non-controlling interest	87,513	311,454
	22,402,325	22,418,291
	Rupees	
Basic earnings per share	12.39	12.32
Diluted earnings per share	12.31	12.26

The annexed notes 1 to 4 form an integral part of these consolidated condensed interim financial statements.



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Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED**STATEMENT OF COMPREHENSIVE INCOME (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

	Quarter ended March 31, 2026	Quarter ended March 31, 2025
	Rupees in '000	
Profit after taxation for the period attributable to:		
Shareholders of the Holding company	22,314,812	22,106,837
Non-controlling interest	87,513	311,454
	<u>22,402,325</u>	<u>22,418,291</u>
Other Comprehensive Income / (loss)		
Items that may be reclassified to profit and loss account in subsequent periods:		
Movement in surplus / (deficit) on revaluation of debt investments through FVOCI - net of tax	(9,305,603)	(9,371,091)
- Gain on sale of debt investments carried at FVOCI reclassified to the statement of profit or loss account - net of tax	(451,482)	(5,180)
Items that will not be reclassified to statement of profit and loss account in subsequent periods:		
- Movement in surplus on revaluation of equity investments through FVOCI - net of tax	(1,484,551)	116,829
Total comprehensive income for the quarter	<u>11,160,689</u>	<u>13,158,849</u>
Attributable to:		
Shareholders of the Holding company	11,073,176	12,847,395
Non-controlling interest	87,513	311,454
	<u>11,160,689</u>	<u>13,158,849</u>

The annexed notes 1 to 4 form an integral part of these consolidated condensed interim financial statements.



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Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED

STATEMENT OF CHANGES IN EQUITY

FOR THE QUARTER ENDED MARCH 31, 2026

	Capital reserves					Revenue reserve	Surplus / (deficit) on revaluation of		Unappropriated profit	Non controlling interest	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets			
	Rupees in '000										
Balance as at January 01, 2025	17,947,407	3,104,253	40,767,834	3,117,547	945,867	91,082	22,141,192	-	163,601,395	1,913,643	253,630,220
Profit after taxation for the quarter ended March 31, 2025	-	-	-	-	-	-	-	-	22,106,837	311,454	22,418,291
Other comprehensive income / (loss) for the year											
- Movement in surplus on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(9,371,091)	-	-	-	(9,371,091)
- Gain on sale of debt investments carried at FVOCI - reclassified to the consolidated statement of profit and loss account - net of tax	-	-	-	-	-	-	(5,180)	-	-	-	(5,180)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(218,813)	-	218,813	-	-
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	116,829	-	-	-	116,829
Total other comprehensive income/(loss) - net of tax	-	-	-	-	-	-	(9,478,255)	-	218,813	-	(9,259,442)
Recognition of share based compensation	-	-	-	-	157,299	-	-	-	-	-	157,299
Other appropriations											
Transfer to statutory reserve*	-	-	2,204,760	-	-	-	-	-	(2,204,760)	-	-
Transactions with owners recognised directly in equity											
Final cash dividend for the year 2024 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	-	(12,563,185)
Dividend payout by Subsidiary	-	-	-	-	-	-	-	-	-	(350,000)	(350,000)
Balance as at March 31, 2025	17,947,407	3,104,253	42,972,594	3,117,547	1,103,166	91,082	12,662,937	-	171,159,100	1,875,097	254,033,183
Profit after taxation for the year	-	-	-	-	-	-	-	-	68,610,398	1,149,773	69,760,171
Other comprehensive (loss) / income for the year											
- Movement in surplus on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	716,417	-	-	-	716,417
- Gain on sale of debt investments carried at FVOCI - reclassified to the consolidated statement of profit and loss account - net of tax	-	-	-	-	-	-	(450,333)	-	-	-	(450,333)
- Remeasurement loss on valuation of employee retirement benefits	-	-	-	-	-	-	-	-	(68,917)	5,356	(63,561)
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	1,471,531	-	-	-	1,471,531
Total other comprehensive income/(loss) - net of tax	-	-	-	-	-	-	1,737,615	-	(68,917)	5,356	1,674,054
Transfer from surplus on revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(20,442)	-	20,442	-	-
Recognition of share based compensation	-	-	-	-	591,599	-	-	-	-	-	591,599
Other appropriations											
Transfer to statutory reserve*	-	-	6,699,365	-	-	-	-	-	(6,699,365)	-	-
Transactions with owners recognised directly in equity											
First interim cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,563,185)	-	(12,563,185)
Second interim cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,603,883)	-	(12,603,883)
Third interim cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,603,883)	-	(12,603,883)
Issue of 5,813,938 shares under the Employees shares option scheme (note 38.4)	58,139	774,981	-	-	(469,823)	-	-	-	54,212	-	417,509
Dividend payout by Subsidiary	-	-	-	-	-	-	-	-	-	(507,500)	(507,500)
Balance as at December 31, 2025	18,005,546	3,879,234	49,671,959	3,117,547	1,224,942	91,082	14,380,110	-	195,304,919	2,522,726	288,198,065

CONDENSED INTERIM CONSOLIDATED
STATEMENT OF CHANGES IN EQUITY
FOR THE QUARTER ENDED MARCH 31, 2026

	Capital reserves					Revenue reserve	Surplus / (deficit) on revaluation of		Unappropriated profit	Non controlling interest	Total
	Share capital	Share premium	Statutory reserve *	Non-Distributable Capital Reserve - Gain on Bargain Purchase	Employee share option compensation reserve	General reserve	Investments	Non-banking Assets			
Rupees in '000											
Balance as at December 31, 2025	18,005,546	3,879,234	49,671,959	3,117,547	1,224,942	91,082	14,380,110	-	195,304,919	2,522,726	288,198,065
Profit after taxation for the quarter ended March 31, 2026	-	-	-	-	-	-	-	-	22,314,812	87,513	22,402,325
Other Comprehensive loss for the quarter ended March 31, 2026 - net of tax											
- Movement in deficit on revaluation of investments in debt instruments at FVOCI - net of tax	-	-	-	-	-	-	(9,305,603)	-	-	-	(9,305,603)
- Gain on sale of Debt investments at FVOCI reclassified to profit or loss - net of tax	-	-	-	-	-	-	(451,482)	-	-	-	(451,482)
- Transfer from revaluation of assets to unappropriated profit - net of tax	-	-	-	-	-	-	(22,667)	-	22,667	-	-
- Movement in surplus on revaluation of equity investments carried at FVOCI - net of tax	-	-	-	-	-	-	(1,484,551)	-	-	-	(1,484,551)
Total other comprehensive loss - net of tax	-	-	-	-	-	-	(11,264,303)	-	22,667	-	(11,241,636)
Recognition of share based compensation	-	-	-	-	200,057	-	-	-	-	-	200,057
Other appropriations											
Transfer to statutory reserve*	-	-	2,340,468	-	-	-	-	-	(2,340,468)	-	-
Transactions with owners recognised directly in equity											
Final cash dividend for the year 2025 @ Rs 7 per share	-	-	-	-	-	-	-	-	(12,603,883)	-	(12,603,883)
Dividend payout by Subsidiary	-	-	-	-	-	-	-	-	-	(525,000)	(525,000)
Balance as at March 31, 2026	18,005,546	3,879,234	52,012,427	3,117,547	1,424,999	91,082	3,115,807	-	202,698,047	2,085,239	286,429,928

*This represents reserve created under section 21 (i)(b) of the Banking Companies Ordinance, 1962.

The annexed notes 1 to 4 form an integral part of these consolidated condensed interim financial statements.



Riyadh S. A. A. Edrees
Chairman



Dr. Syed Amir Ali
President & CEO



Mohammad Abdul Aleem
Director



Irfan Siddiqui
Director



Syed Imran Ali Shah
Chief Financial Officer

CONDENSED INTERIM CONSOLIDATED

CASH FLOW STATEMENT (UNAUDITED)

FOR THE QUARTER ENDED MARCH 31, 2026

	Quarter ended March 31, 2026	Quarter ended March 31, 2025
	Rupees in '000	
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before taxation	48,059,980	49,284,606
Less: Dividend income	(141,328)	(57,136)
	<u>47,918,652</u>	<u>49,227,470</u>
Adjustments:		
Depreciation	2,055,922	1,660,772
Net profit / return	(62,554,818)	(62,787,295)
Amortization	219,319	185,899
Non cash items related to right-of-use assets	1,914,332	1,741,762
Credit loss allowance and write offs - net	448,796	1,858,380
Share based compensation expense	200,057	157,299
Unrealised gain - FVTPL	9,577	(144)
Gain on sale of property and equipment	(80,630)	(154,129)
Share of results of associates	1,213,216	(338,492)
	<u>(56,574,229)</u>	<u>(57,675,948)</u>
	<u>(8,655,577)</u>	<u>(8,448,478)</u>
Decrease / (Increase) in operating assets		
Due from financial institutions	6,742,350	(1,500,000)
Islamic financing and related assets	148,927,780	112,286,504
Other assets	4,391,630	(9,273,502)
	<u>160,061,760</u>	<u>101,513,002</u>
Decrease / (Increase) in operating liabilities		
Bills payable	(6,902,618)	(62,449,668)
Due to financial institutions	(290,720,458)	(111,858,631)
Deposits and other accounts	316,835,725	295,391,760
Other liabilities	(30,671,462)	(11,986,017)
	<u>(11,458,813)</u>	<u>109,097,444</u>
	<u>139,947,370</u>	<u>202,161,968</u>
Net profit / return received	48,974,438	55,648,662
Net profit / return paid	(44,348,372)	(46,458,409)
Income tax paid	(30,051,862)	(12,480,919)
Net cash generated from operating activities	<u>114,521,574</u>	<u>198,871,302</u>
CASH FLOW FROM INVESTING ACTIVITIES		
Net (investments) / divestments in amortised cost securities	2,530,545	(33,211)
Net investments in securities classified as FVOCI	(108,465,306)	(201,994,398)
Net (investments) / divestments in securities classified as FVTPL	(327,355)	2,678,599
Net investments in associates	542,827	93,713
Dividends received	120,462	57,136
Investments in property and equipment	(2,680,518)	(2,875,170)
Investments in intangible assets	(121,500)	(178,413)
Proceeds from sale of property and equipment	175,570	326,165
Net cash used in investing activities	<u>(108,225,275)</u>	<u>(201,925,579)</u>
CASH FLOW FROM FINANCING ACTIVITIES		
Payment of lease liability against right-of-use assets	(1,337,131)	(1,191,047)
Dividend paid to equity shareholders of the Bank	(11,270,229)	(530)
Dividend paid to non-controlling interest	(525,000)	(350,000)
Net cash used in financing activities	<u>(13,132,360)</u>	<u>(1,541,577)</u>
Decrease in cash and cash equivalent	<u>(6,836,061)</u>	<u>(4,595,854)</u>
Cash and cash equivalents at the beginning of the quarter	343,475,839	272,080,803
Impact of net credit loss allowance on cash and cash equivalents during the quarter	(989)	(1,990)
Cash and cash equivalents at the end of the quarter	<u>336,638,789</u>	<u>267,482,959</u>

The annexed notes 1 to 4 form an integral part of these consolidated condensed interim financial statements.


Riyadh S. A. A. Edrees
Chairman


Dr. Syed Amir Ali
President & CEO


Mohammad Abdul Aleem
Director


Irfan Siddiqui
Director


Syed Imran Ali Shah
Chief Financial Officer

NOTES TO AND FORMING PART OF THE CONDENSED INTERIM CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) FOR THE QUARTER ENDED MARCH 31, 2026

1 BASIS OF PRESENTATION

- 1.1** These condensed interim consolidated financial statements include the unaudited financial statements of Meezan Bank Limited (MBL) (the holding company), Al-Meezan Investment Management Limited (subsidiary) and Meezan Exchange Company (Private) Limited (subsidiary) collectively referred as the 'Group' and associates namely, Al Meezan Mutual Fund, Meezan Islamic Fund, KSE Meezan Index Fund, Meezan Pakistan Exchange Traded Fund, Meezan Asset Allocation Fund, Meezan Rozana Amdani Fund, Meezan Gold Fund, Meezan Balanced Fund, Meezan Energy Fund, Meezan Cash Fund, Meezan Islamic Income Fund, Meezan Fixed Term Fund, Meezan Tahaffuz Pension Fund, Meezan GOKP Pension Fund, Meezan Punjab Pension Fund.
- 1.2** These condensed interim consolidated financial statements has been prepared in accordance with the requirements of International Accounting Standard (IAS) 34 'Interim Financial Reporting'.
- 1.3** These condensed interim consolidated financial statements comprise of the statement of financial position as at March 31, 2026 and the profit and loss account, statement of comprehensive income, statement of changes in equity and the cash flow statement for the period ended March 31, 2026.

1.4 BASIS OF MEASUREMENT

These condensed interim consolidated financial statements have been prepared under the historical cost convention, except for certain non banking assets acquired in satisfaction of claims which are stated at revalued amounts, investment classified at fair value through profit or loss and fair value through other comprehensive income, commitments in respect of certain foreign exchange contracts which are measured at fair value, staff retirement benefits and compensated absences which are carried at present value.

1.5 Functional and presentation currency

Items included in these condensed interim consolidated financial statements are measured using the currency of the primary economic environment in which the Group operates. These condensed interim consolidated financial statements are presented in Pakistani Rupees, which is the Group's functional and presentation currency.

1.6 Rounding off

Figures have been rounded off to the nearest thousand rupees unless otherwise stated.

2 ACCOUNTING POLICIES

- 2.1** The accounting policies and the methods of computation adopted in the preparation of these condensed interim consolidated financial statements are the same as those applied in the preparation of the Group for the year ended December 31, 2025.

3 GENERAL

- 3.1** The Group has been notified as a shariah compliant business by Pakistan Stock Exchange (PSX) vide Notice PSX/N-1419 dated December 26, 2025. Accordingly, the Group is required to make below additional disclosures.

The Group only enters into relation with conventional banks on need basis under Shariah compliant arrangement in line with Shariah Board guidelines. All local or Nostro accounts with conventional bank are non-remunerative accounts therefore no interest income is earned on them. As a policy the Group does not enter into any direct relationship with conventional insurers.

On liability side, the Group mainly raises funds through deposits, SBP / interbank acceptances and sub-ordinated sukuk. These amounts are baed on islamic principles of Mudaraba, Musharakah, Qard etc. Outstanding position of these liabilities are as under:

**NOTES TO AND FORMING PART OF THE CONDENSED INTERIM CONSOLIDATED
FINANCIAL STATEMENTS (UNAUDITED)
FOR THE QUARTER ENDED MARCH 31, 2026**

	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
	Rupees in '000	
Due to financial institutions	593,788,742	887,048,227
Deposits and other accounts	3,619,173,132	3,302,337,407
Sub-ordinated sukuk	16,990,000	16,990,000
	4,229,951,874	4,206,375,634

Total profit accrued against these liabilities during the quarter was Rs 44,415 million (March 31, 2025: Rs 45,837 million). In accordance with shariah guidelines, no liability was raised through any conventional mode of financing / advance and thus no interest was accrued or paid.

On investment side, the Group has made investment in GoP shariah compliant securities (mainly sukuk and bai muajjal), privately placed corporate sukuk, listed and unlisted shariah compliant equities (including those of subsidiaries, associates and mutual funds). Further bank balances / placements (including those with foreign correspondent banks) have been held under islamic mode of placements. Outstanding position of these assets are as under:

	March 31, 2026 (Unaudited)	December 31, 2025 (Audited)
	Rupees in '000	
Balance with State Bank of Pakistan and National Bank of Pakistan	203,640,562	274,593,554
Balances with other banks	47,795,682	15,439,064
Due from financial institutions	5,582,728	12,325,225
Investments	2,689,363,620	2,608,334,204
	2,946,382,592	2,910,692,047

The Group neither deal in conventional derivative financial instruments nor provide any conventional loan / advance. Any amount recovered due to late payment is recognised and taken as charity payable by the Group. Below are the details of revenue earned from shariah compliant businesses:

	March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)
	Rupees in '000	
Profit / return earned on Islamic financing and related assets,		
investments and placements	105,846,038	107,619,969
Fee and commission income	9,085,766	7,211,977
Dividend income	141,328	57,136
Foreign exchange income	1,798,432	1,597,750
Gain / (loss) on securities	952,803	11,165
Net loss on derecognition of financial assets measured at amortised cost	-	-
Other income	364,172	364,089
	118,188,539	116,862,086

4 DATE OF AUTHORISATION

These consolidated condensed interim financial statements were authorized for issue on April 23, 2026 by the Board of Directors of the Holding company.


Riyadh S. A. A. Edrees
Chairman


Dr. Syed Amir Ali
President & CEO


Mohammad Abdul Aleem
Director


Irfan Siddiqui
Director


Syed Imran Ali Shah
Chief Financial Officer



Meezan Bank
The Premier Islamic Bank

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